

The Landlord's Cost Map

What a Rental Really Costs to Hold in Twelve States

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Introduction

The number nobody puts on the listing

Every property listing tells you the price. Most tell you the taxes, usually the seller's bill from a year when the seller was living there. Almost none tell you the insurance, and none at all tell you what the property will cost you to hold for the next twelve months.

That last number is the one that decides whether you make money.

An investor buys on the numbers he can see: purchase price, rehab estimate, comparable sales, projected rent. Those numbers are visible, quotable and easy to model. The numbers that actually eat the return are the ones that arrive later — the reassessment after closing, the insurance binder that comes in at double the estimate, the compliance certificate that has to be obtained before a tenant can legally move in.

Those costs are not hidden. They are published, mostly. They are just scattered across county assessor sites, state statutes, carrier rate filings and municipal ordinances, and no one has put them side by side.

That is what this book is.

Why state lines matter more than you think

Real estate advice is written as though the country were one market with regional price differences. Buy below the seventy percent rule. Keep six months of reserves. Expect thirty to forty percent expenses. Those rules are useful, and they are all national averages that describe no actual property.

Consider what changes when you cross a state line with the same \$400,000 house:

In Connecticut, the annual property tax on that house ranges from under \$3,000 to nearly \$20,000 depending on which town it stands in.

In Florida, the insurance premium runs close to three times the national average, and whether it is insurable at all can depend on a flood map and the age of the roof.

In Michigan, the tax rate changes the day the house becomes a rental, because the state taxes owner-occupied and non-owner-occupied property differently.

In Massachusetts, if the house was built before 1978 and a family with a young child wants to rent it, you cannot legally house them until lead hazards have been removed or covered by a licensed contractor — and the liability if you get it wrong is strict.

In Washington, how much you may raise the rent next year is capped by statute.

None of that appears in a national rule of thumb. All of it decides whether the deal works.

How to use this book

Part One covers the mechanics that apply everywhere: how a lender actually sizes a loan, what belongs in a carrying cost, why gross yield is a misleading number, and where the seventy percent rule breaks down. Read it first even if you only care about one state — the state chapters assume it.

Part Two is twelve state chapters. Each one leads with the single factor that decides deals in that state, then works through the markets inside it, then ends with a checklist you can work from before making an offer. The states are Florida, Texas, Georgia, Ohio, Maryland, Michigan, Pennsylvania, Massachusetts, Connecticut,

Virginia, Colorado and Washington.

Part Three runs the same property through all twelve states side by side, so you can see the spread in one table, and then walks through three complete worked deals from offer to exit.

The chapters do not need to be read in order. But do not skip Part One and then argue with a state chapter, because most of the arguments are settled there.

A word about who wrote this

I arrange hard money and private lending. I do not lend my own funds; I place deals with third-party lending partners, and those partners pay me when a loan closes.

You should know that, because it shapes what I pay attention to. I see the deals that fail, and I see them fail for the same handful of reasons over and over. A borrower who models taxes off the seller's bill. A borrower whose exit assumes a sixty-day sale in a market averaging eighty. A borrower who has never heard the phrase "non-homestead millage" until the first bill arrives.

It also means I have an interest in you borrowing money. I have tried to write this so that it is worth reading even if you never speak to me — and where a deal genuinely does not work, this book says so rather than finding a way to finance it anyway. There are several places in these pages where the honest answer is *do not buy this*.

Take the parts that are useful. Verify the numbers. And run your own arithmetic before anyone, including me, runs it for you.

If you want a specific deal looked at, there is a page at the back of this book telling you where to go.

Part One: How the Money Actually Works

Three Ceilings, and Why the Lowest One Wins

Ask most investors how a lender decides what to lend and you will get a single number: seventy percent, maybe seventy-five. One percentage, applied to one figure.

That is not how it works, and the gap between that belief and the mechanics is the most common reason a borrower arrives at closing short of cash.

A lender calculates several ceilings independently, and then lends the *smallest* of them. Understanding which one binds on your deal is the difference between knowing what you will need to bring and guessing.

The three measures

Loan to value, or LTV, measures against what the property is worth today, as it stands, unimproved. This is what a lender uses when there is no renovation involved — a straightforward purchase of a functioning rental.

Loan to cost, or LTC, measures against what you are putting into the deal: purchase price plus renovation budget. This is the measure that rewards buying well. If you buy at a discount, your cost is low, and a percentage of a low number is a low ceiling — which sounds like a disadvantage until you realise you needed less money in the first place.

Loan to after-repair value, or LTARV, measures against what

the property will be worth when the work is finished. This is the measure that constrains ambitious renovations, and it is the one that surprises people.

Watching them fight

Take a concrete deal. Purchase price \$185,000. Renovation budget \$55,000. After-repair value, supported by comparables, \$330,000.

Total cost is \$240,000.

Suppose the lender offers up to ninety percent of cost and up to seventy percent of after-repair value. Both are generous-sounding numbers.

Ninety percent of \$240,000 is \$216,000. Seventy percent of \$330,000 is \$231,000.

The loan is \$216,000, because the cost ceiling is lower. You bring the \$24,000 difference, plus points, plus closing costs.

Now change one input. Suppose the same house, same purchase price, but the renovation is more ambitious — \$95,000 instead of \$55,000 — and the after-repair value only rises to \$355,000.

Total cost is now \$280,000. Ninety percent of that is \$252,000. Seventy percent of \$355,000 is \$248,500.

Now the ARV ceiling binds, and it binds *below* the cost ceiling. Which means something important: **the extra \$40,000 you decided to spend on renovation did not produce \$40,000 of extra loan.** It produced \$32,500 of extra loan and \$7,500 of extra cash out of your pocket, on top of the \$28,000 you were already bringing.

Spend more on rehab in a market where the resale price does not rise proportionally, and you are financing the difference yourself.

Why this matters before you offer

Most investors run this calculation after they have a term sheet. By then the offer is made and the earnest money is at risk.

Run it before. You need three numbers — purchase price, renovation budget, and a defensible after-repair value — and the two percentages the lender uses. Calculate both ceilings. Take the lower. Subtract it from your total cost. That difference, plus points and closing costs, is the cash you need on the day.

If that number is larger than the cash you have, you have learned it for free rather than expensively.

The number that is not a ceiling

One more measure appears on rental loans and works differently: the **debt service coverage ratio**, or DSCR.

It is not a percentage of anything. It is a division. Take the property's gross monthly rent and divide it by the full monthly housing payment — principal, interest, taxes, insurance and any homeowners association dues. That figure is the DSCR.

Rent of \$2,200 against a payment of \$1,760 gives a DSCR of 1.25. The property earns twenty-five percent more than it costs to hold, on paper.

Rent of \$2,200 against a payment of \$2,200 gives 1.00. It breaks even.

Rent of \$2,000 against a payment of \$2,200 gives 0.91. It does not cover.

Lenders price against that ratio. At 1.25 and above you generally see the best available terms. Between 1.00 and 1.24 the loan is usually still available with pricing adjustments. Below 1.00 the pool of lenders narrows sharply, and those that will still lend want larger reserves, a bigger down payment, or both.

The reason this belongs in a chapter about ceilings is that taxes and insurance sit *inside* the payment. Which means the DSCR is where every state-specific cost in this book eventually lands. A property in a state with a two percent effective tax rate and a state with a one percent rate, at the same price and the same rent, do not produce the same ratio — and therefore do not get the same loan.

That is the thread running through Part Two. Every cost that looks like an operating detail eventually becomes a financing constraint.

What Actually Goes Into a Carrying Cost

There is a version of a rental pro forma that circulates widely and is wrong in the same way every time. It has three lines: rent, mortgage payment, and the difference between them, called cash flow.

The difference between those two numbers is not cash flow. It is the amount available to pay for everything else, and everything else is substantial.

The lines that belong there

Property tax. Covered at length in Part Two because it varies more by geography than any other cost. The critical rule appears in almost every state chapter, so learn it once here: **do not model from the seller's tax bill.** In most of the country, property is reassessed when it changes hands, and a long-held property is frequently assessed far below what you are about to pay for it. In Michigan the rate itself changes when the property becomes a rental. In Texas the reassessment lands on your purchase price. The seller's bill tells you what the seller paid. It does not tell you what you will pay.

Insurance. In most states a manageable line. In Florida it approaches three times the national average. In coastal Texas it runs above \$3,500 before any flood policy. In Colorado, whether a property sits in a wildfire zone can determine not just the premium but whether standard coverage is available at all. Get a bindable quote

on the specific address during due diligence — not an estimate, not a per-square-foot rule, a quote.

Vacancy. The single most commonly omitted line. A property is not rented three hundred and sixty-five days a year forever. Tenants leave, units need turning, and the market takes what it takes. Five to seven percent of gross rent is a defensible baseline in a stable market. In markets with high turnover — Class C stock, military areas with rotation cycles, student housing — eight to ten percent is more honest. At \$1,650 in monthly rent, a twenty-one day vacancy costs about \$1,155 before you have paid a contractor to repaint anything.

Maintenance and capital expenditure. Two different things, both real. Maintenance is the tap that leaks and the disposal that fails. Capital expenditure is the roof, the furnace, the water heater and the electrical panel — items that will not fail this year but will fail, and whose cost should be accrued monthly rather than absorbed as a surprise. On older housing stock, and much of the highest-yielding stock in this book is older, these lines are larger than new investors expect.

Management. Whether or not you pay someone, count it. Eight to ten percent of collected rent is typical. If you self-manage, you have not eliminated the cost; you have chosen to be paid it, and you should know how much you are earning for the work. If you ever want to sell to another investor, they will underwrite with management in the model regardless of what you did.

Utilities, lawn, snow, HOA. Depends on the property and the lease. Count what the lease makes yours.

Compliance. A line most pro formas have never heard of, and which decides deals in several states in this book. Registration fees, licensing, inspections, lead certification, rental permits. Maryland and Massachusetts make this large enough to change the timeline

of a project, not merely its budget.

What that adds up to

The rule of thumb is that expenses consume thirty to forty percent of gross rent on a single-family rental, before debt service. On older stock in a high-tax state with compliance requirements, the top of that range is optimistic.

Take a property renting for \$1,500 a month — \$18,000 a year. At thirty-five percent, expenses are \$6,300, leaving \$11,700 to cover the mortgage. If the mortgage is \$950 a month, that is \$11,400. The property produces \$300 a year.

That is not a broken deal. That is a normal deal, and it illustrates why the arithmetic has to be done properly. A pro forma that omitted vacancy and management would have shown that same property producing over \$4,000 a year, and the investor would have bought it believing something untrue.

The one that is not a cost

Principal is not an expense. The portion of your payment reducing the loan balance is money moving from one pocket to another, and it is a real part of your return even though it does not appear in your bank account.

This cuts both ways, and honesty requires naming both. A property producing \$300 a year in cash while paying down \$4,000 of principal is doing better than it looks. And a property producing \$300 a year in cash is still one water heater away from producing negative six hundred.

Count principal as return. Do not spend it.

Figures in this chapter are illustrative. State-specific costs are

sourced and dated in Part Two.

Why Gross Yield Lies, and Where the Seventy Percent Rule Breaks

Two numbers do more damage in this business than any others, and both do it by being almost right.

Gross yield

Gross yield is annual rent divided by purchase price. A house bought for \$120,000 renting for \$1,200 a month produces \$14,400 a year, which is twelve percent.

Twelve percent is a wonderful number. It is also not a number anybody receives.

Work it through honestly. That property sits in a state with a two point eight percent effective tax rate — which is Detroit, and we will get there. Tax is \$3,360. Insurance, \$1,400. Vacancy at seven percent, \$1,008. Maintenance and capital expenditure on housing stock built before 1940, conservatively ten percent, \$1,440. Management at nine percent, \$1,296.

Expenses total \$8,504. Net operating income is \$5,896.

Against a purchase price of \$120,000, that is a **4.9 percent** net yield. Not twelve.

And that is before financing. Borrow \$90,000 of the purchase at seven percent on a thirty-year amortisation and the payment is roughly \$599 a month, \$7,188 a year. Net operating income of \$5,896 against debt service of \$7,188 is *negative \$1,292 a year*.

The property advertised at a twelve percent yield loses money

every month.

This is not a trick or an unusual case. It is the standard arithmetic of low-basis, high-tax, old-stock rentals, and it is why the highest gross yields in this book come with the loudest warnings attached. Cleveland at twelve percent gross, Detroit at eleven, Pueblo at eight to ten — those figures are real, and they are all gross.

The rule: any yield figure quoted without an expense assumption is a gross figure, and gross is not what you keep. When somebody tells you a market produces eleven percent, the only useful reply is “before or after what?”

Where the seventy percent rule breaks

The seventy percent rule says your maximum offer on a flip should be seventy percent of after-repair value, minus the renovation budget.

ARV of \$330,000. Rehab of \$55,000. Seventy percent of \$330,000 is \$231,000. Subtract \$55,000 and the maximum allowable offer is \$176,000.

It is a good screen. It exists because the thirty percent it holds back has to cover your acquisition costs, your holding costs, your selling costs and your profit — and in a normal market with a normal timeline, thirty percent is roughly right.

Three things break it.

It breaks on high-value property. Thirty percent of a \$900,000 ARV is \$270,000 held back, which is far more margin than that deal needs. The rule leaves money on the table at the top end, and investors who apply it rigidly in expensive markets never buy anything.

It breaks on cheap property. Thirty percent of a \$90,000 ARV is \$27,000. Your closing costs, six months of carry, and a realtor's

commission will eat most of that before any profit. In low-price markets the rule is too generous, not too strict, and investors who follow it lose money while believing they followed a conservative guideline.

It breaks when the market moves. The rule assumes your ARV holds. In a market where prices are drifting down — and several states in this book are, right now — an ARV set from spring comparables is not a fact, it is an expiring estimate. Cut the exit price by ten percent and the arithmetic that produced a comfortable margin produces almost none.

Here is what that looks like. Take the \$185,000 purchase, \$55,000 rehab, \$330,000 ARV deal from Chapter 1. On sensible short-term financing, held eight months, with realistic selling costs, that deal produces roughly \$37,700 of profit on about \$49,900 of cash — a strong return.

Drop the ARV to \$300,000. One correction to one optimistic comparable.

Profit falls from \$37,700 to about \$10,700. And the cash you must bring at closing *rises*, from \$31,820 to \$37,700, because the loan is now constrained by the ARV ceiling rather than the cost ceiling and the lender advances less.

A \$30,000 error in your exit assumption costs \$27,000 of profit and demands \$5,880 more of your own money.

That is the strongest argument in this book for conservative comparables, and it is worth more than any rule of thumb. **The seventy percent rule is a screen that saves you time. Your comparables are what save you money.**

What to use instead

Use the rule to decide what not to look at. Then, on anything that survives it, model the actual deal: both loan ceilings, the real

carrying costs for that state, a realistic timeline for that market, and selling costs including the conveyance or transfer tax if the state charges one.

If a deal only works when you use the rule of thumb and stops working when you use real numbers, it does not work.

Illustrative figures. State-specific costs are sourced and dated in Part Two.

Part Two: Twelve States

Florida: The Insurance Bill Is the Deal

Most states have a cost that surprises newcomers. Florida has one that reshapes every calculation on the page, and it is not the purchase price.

Florida property insurance averages roughly \$7,136 a year for \$300,000 of coverage. The national average is about \$2,543.

Nearly three times. Every year. On every property.

Set that beside a typical operating budget and the scale becomes clear. On a house renting for \$1,800 a month — \$21,600 a year — a \$7,136 premium is a third of gross rent consumed by a single line item that most out-of-state investors budget at a quarter of that figure.

Market and insurance figures in this chapter are from industry reporting and are directional. Tax mechanics are sourced to Florida Statutes and county property appraiser publications.

What insurance does to each strategy

On a flip, insurance is carry. A six to nine month hold costs \$1,700 to \$2,300 in premium alone, on top of taxes, utilities and interest. It will not sink a well-bought deal. It will absolutely sink a marginal one, and it is the line most often left out of a first Florida pro forma.

On a rental, it is worse, because it sits inside the payment. Insurance is part of PITIA, so it feeds directly into the debt service

coverage ratio that determines both whether you get the loan and what you pay for it. A property carrying \$400 a month in insurance instead of \$200 does not merely earn \$200 less — it can drop from a 1.25 ratio to roughly 1.10, moving it into a worse pricing tier and reducing the loan the lender will write.

The gap between coastal and inland is \$1,500 to \$2,500 a year on comparable property, which is \$125 to \$210 a month. On a house renting for \$1,800, that difference is most of the margin.

Get a bindable quote on the specific address during due diligence. Not a per-square-foot estimate. Not what your last Florida property cost. A quote, for that parcel, with that roof age, in that wind zone. Premiums vary more by wind exposure and roof age than by property value, so two houses on the same street at the same price can carry materially different costs.

One piece of good news, stated carefully because insurance markets turn: reinsurance pricing has moderated and the 2025 season produced no direct Florida landfall, so carriers rebuilt surplus and rates have begun easing. Model on today's quote rather than tomorrow's hope.

The tax mechanism, and the cap most investors do not know they have

Florida assesses at **just value** — the statutory term for full market value as of 1 January — under Florida Statutes § 193.011, which sets out an eight-factor test.

Your TRIM notice carries three numbers and they are not interchangeable:

Just value is market value. It is the only figure you can appeal. **Assessed value** is just value after any applicable cap. **Taxable**

value is assessed value minus exemptions, and it is what the bill is built on.

Homesteaded owners get the Save Our Homes cap — 3 percent or CPI, whichever is lower, which is 2.7 percent for 2026 — and it is famous.

What far fewer investors know is that non-homestead property has a cap too.

Under Florida Statutes § 193.1554, non-homestead property — rentals, second homes, vacant land and commercial — carries a **10 percent annual cap** on increases in assessed value. It applies to all taxing authority millage **except school district taxes**, which are calculated without it.

That is a genuine benefit and my earlier draft of this chapter omitted it entirely.

Three ways an investor loses that cap

The cap is real but it is fragile, and every one of these matters to somebody doing what this book describes.

A change of ownership or control. Non-homestead residential property is assessed at just value as of the 1 January following the change of ownership. So when you buy, the cap resets and you start again from full market value. The seller's capped assessment does not come with the property.

A qualifying improvement. An improvement substantially completed as of 1 January that increases the property's just value by **at least 25 percent** removes the cap benefit. An improvement raising value by more than 10 percent but less than 25 percent “goes over the cap” — meaning the increase attributable to your work is not protected. The cap shields you from the market, not from your own renovation.

For a value-add investor this is the important sentence in the chapter. If your renovation is designed to lift value by a third, you should expect the cap protection to go with it.

And the recapture rule, which is the one that stings in the market Florida currently has.

Under Rule 12D-8.0062(5) of the Florida Administrative Code, **assessed value must keep climbing by the cap amount even in a year when just value falls** — until assessed value catches up with just value.

Read that against the market section below. Cape Coral is down 10.2 percent year over year and North Port down 8.9 percent. An owner in either market whose assessed value sits below just value can watch the property lose market value while the assessed value, and therefore the bill, keeps rising.

A falling market does not automatically mean a falling tax bill in Florida. It only helps once just value drops below your capped assessed value.

The appeal, and the shortest deadline in this book

If you do want to challenge the assessment, Florida gives you very little time.

TRIM notices go out in **mid-August**. Under F.S. § 194.011(3) you have **25 days from the date the notice was mailed** — not from the day you opened it — to petition the county Value Adjustment Board. Most county deadlines fall in early-to-mid September, and the exact date is printed on the notice.

That is the shortest window of any state in this book. Diary it the day the notice arrives.

Petitions use Form DR-486 and go to the clerk of the Value Adjustment Board, not to the Property Appraiser. Filing fees are com-

monly \$15 per parcel, though Florida raised the statutory ceiling from \$15 to \$50 on 1 July 2025 and counties set their own amount underneath it. Many Property Appraisers will conduct an informal review first, under § 194.011(2), which is free and sometimes settles the matter.

One point in the taxpayer's favour: the burden of proof is split. The Property Appraiser must first establish, by a preponderance of the evidence, that the assessment was reached in compliance with § 193.011.

And one honest caution. On a capped property, a reduction in just value changes nothing until just value falls below the capped assessed value. Check that gap before spending money on an appeal.

Buy against cost, not against value

Florida is not uniformly appreciating any more, and in several metros it is doing the opposite.

Cape Coral is down 10.2 percent year over year. North Port is down 8.9 percent. Forecasts for 2026 have most major Florida metros posting a small decline, averaging around 1.9 percent, with Miami the exception at roughly plus 1.1 percent.

Chapter 1 explained why this matters mechanically. A loan measured against value is a loan measured against the most recent comparable sale on your street — and in a falling market, that comparable may be a neighbour who had to sell. A loan measured against cost is measured against what you are actually putting in.

Where terms allow up to one hundred percent of cost with a seventy percent ceiling on value, the value ceiling is usually what binds on a Florida deal with soft comparables. Model it before you write the offer, because the shortfall is cash you bring on the day.

The market conditions underneath

Florida closed 54,030 home sales in the first quarter of 2026, with 7.47 months of supply and a median around \$394,000, down 1.3 percent. That is a buyer's market by any reasonable definition — high inventory, motivated sellers, negotiating room.

Florida also led the nation in 2025 foreclosure filings, at 0.44 percent of housing units. A great deal of the acquisition opportunity in this state sits in that number.

The picture is acquisition-friendly and exit-slow. That rewards investors who buy at a genuine discount and can carry a property longer than they planned. It punishes investors who buy near retail expecting appreciation to rescue the margin.

Where the numbers work

Lakeland and Polk County are the cash flow play. Entry around \$275,000 to \$340,000 against rents of \$2,100 to \$2,250 produces rent-to-price ratios of 0.65 to 0.70 percent, the best in the state. Polk sits inland, so insurance runs \$1,400 to \$1,900 rather than coastal figures, and the effective property tax rate is about 0.95 percent. Tenant demand comes from Amazon, Publix and Geico facilities and from the logistics corridor between Tampa and Orlando. If the deal has to cash flow from month one, look here first.

Jacksonville is the cheapest entry among the major metros. Metro median home value around \$308,900, with Westside and Northside submarkets at \$280,000 to \$330,000. A three-bedroom rents for roughly \$1,775 to \$1,900; HUD fair market rent for a two-bedroom is \$1,658. Realistic capitalisation rates are 6 to 8 percent. What makes Jacksonville interesting is that it never overshot:

while Tampa and Orlando flipped to flat or negative, Jacksonville's house price index remains positive at about 1.8 percent. Cash buyers make up 27 to 30 percent of transactions against a historical 18 to 20, so as-is property has a reliable exit. It is also the largest city by land area in the contiguous United States, and treating it as one market is the standard out-of-state error.

Orlando produces gross rental yields around 7.9 percent with the 2026 median price forecast at roughly minus 1.6 percent. Insurance premiums average \$3,371 to \$3,422 — high nationally, low for Florida. The short-term rental corridor near the theme parks produces higher gross yields with far more seasonality and regulatory risk. Underwrite a short-term rental on long-term rent as your downside case.

Tampa has flattened after a long run, with genuine rental demand and the condominium problem discussed below.

Cape Coral and Fort Myers offer real negotiating leverage on acquisition — elevated inventory and that 10.2 percent annual decline give a buyer room. The same conditions make the exit slower and the appraisal riskier, and the recapture rule means the tax bill may not fall with the market. Buy here on a wide margin or do not buy here.

The condominium problem

Florida requires structural inspections and reserve studies on older condominium associations following the Surfside collapse. Buildings that deferred maintenance for two decades are now settling up, and the settling takes the form of special assessments that can run into five figures per unit with little warning.

For an investor this is a hazard with no upside. Single-family is materially safer collateral in this state, and lenders price condo-

miniums accordingly. If you buy a Florida condo, read the association's reserve study and assessment history before the inspection period ends, and treat a thin reserve as a bill you have not received yet.

The structural advantage

Florida has no state income tax. On a flip, the profit you keep is a federal question only. Against a state taking five to nine percent off the top, that difference lands directly in your return on cash and compounds across a portfolio. It does not fix the insurance problem. It is real money.

The Florida checklist

1. Pull the FEMA flood determination for the exact address.
2. Get a bindable insurance quote during due diligence — not an estimate.
3. Put the premium inside the coverage ratio, not beside it.
4. Understand that your purchase resets the non-homestead cap — you start at just value.
5. If your renovation will raise just value by 25 percent or more, expect to lose the cap benefit.
6. In a falling market, remember the recapture rule: assessed value can keep rising while market value falls.
7. Diary the TRIM notice. Twenty-five days from mailing, Form DR-486, and check the gap between just and assessed value before paying for an appeal.
8. Build the after-repair value from comparables no older than sixty days.

9. Model both loan ceilings and expect the value ceiling to bind.
10. On a condominium, read the reserve study and assessment history before the inspection period expires.
11. Budget carry for a slower exit than the listing agent projects.

Assessment and appeal mechanics are drawn from Florida Statutes §§ 193.011, 193.155, 193.1554 and 194.011, Rule 12D-8.0062(5) of the Florida Administrative Code, Form DR-486, and county property appraiser publications including Palm Beach, Pinellas and Flagler. Millage rates and filing fees are set locally and change — verify with your county property appraiser and Value Adjustment Board. Insurance and market figures are directional.

Texas: You Pay for the Missing Income Tax Every Month

Texas has no state income tax. Everybody knows that. Fewer people work out what funds the state instead.

Texas funds most local services through property tax — a design that pushes effective rates among the highest in the nation. It is a trade, and a defensible one. But it is a trade, and the bill arrives monthly rather than in April.

How the assessment actually works

Three mechanics, all of which differ from other states in this book.

Texas assesses at 100 percent of market value. There is no fractional assessment ratio. Unlike Connecticut at seventy percent or Colorado's split rates, what the appraisal district says the property is worth is what the tax is calculated on.

The appraisal date is 1 January. Value is what the property would realistically sell for in an arm's-length transaction on that date.

Property is reappraised at market value, and a sale resets it. This is the specific Texas error and it costs more than any other mistake in the state. The seller's tax bill — the one on the listing, the one your agent quotes — reflects the seller's appraised value, which on a long-held property may sit well below what you are about to pay. Your bill will be calculated against market value as

the district sees it after your purchase.

Underwrite at the reappraised value, not the seller's bill. Every time, in this state.

The effective rate, and why a single number misleads

Statewide, effective rates run around 1.40 percent, and a \$400,000 rental at that rate carries \$5,600 a year — about \$467 a month before insurance, sitting inside the coverage ratio.

Harris County is where published figures diverge, and I want to be straight about it rather than pick the number that suits the argument. Some sources put the Harris County effective rate around 1.46 percent, producing roughly \$4,405 on the county median value of \$301,700. Others put Houston-area effective rates at 2.1 to 2.4 percent.

Both can be true, and the reason is worth understanding: **your bill is the sum of every taxing unit that reaches your parcel.** County, city, school district, community college, hospital district — and in much of suburban Houston, a Municipal Utility District. MUDs fund water, sewer and drainage in developments outside city service areas, and they can add a full percentage point or more. Two houses a mile apart, one inside a MUD and one not, carry materially different rates.

So do not take a county average. Get the list of taxing units for the specific parcel from the appraisal district and add them up. On a Houston-area purchase, ask specifically whether the property sits in a MUD, and if so, what that district levies and what its debt position looks like.

The protest process is a real lever

Texas gives every property owner an annual right to challenge the appraised value, and it is one of very few operating costs an owner can genuinely argue down.

The deadline is 15 May, or 30 days after your Notice of Appraised Value is mailed, whichever is later. File Form 50-132, the Property Owner's Notice of Protest, with the county appraisal district. Most districts open an online portal and filing takes minutes; you do not need your evidence assembled to file.

Notices are typically mailed between mid-April and 1 May. Informal reviews and formal Appraisal Review Board hearings run from late May through July, with the appraisal roll certified around 25 July.

A few procedural points worth knowing:

Select both **incorrect appraised value and unequal appraisal** as your grounds. Texas Tax Code §41.43 lets you argue both simultaneously, and doing so preserves the widest range of evidence and the broadest appeal rights.

Under HB 1533, the appraisal district must share its evidence with you **at least 14 days before your hearing.**

Most protests settle at the informal review with a district appraiser, before any formal hearing. The ARB is a panel of three private citizens independent of the district under Tax Code §6.41; each side gets five to seven minutes, and the panel rules on documentation rather than grievance.

Comptroller data shows roughly 56 percent of residential protests reach a reduced value, with an average reduction near 8 percent. The largest single determinant of success is showing up.

And the effect compounds. A successful protest lowers your baseline appraised value, which carries into future years. Skipping

a year does not just cost you that year — it raises the starting point for every year after.

If the ARB rules against you, three escalation routes exist: binding arbitration for properties up to \$5 million, filed within 60 days of the ARB order with a deposit; the State Office of Administrative Hearings for higher-value commercial property; and district court within 60 days for any property.

Two recent changes worth asking about

The 2023 Senate Bill 2 reforms, implemented across 2024 to 2026, tripled the school district homestead exemption to \$100,000 and introduced a **circuit breaker for non-homestead property**. That last provision is aimed at investors and is worth asking your appraisal district or a Texas property tax consultant about directly, since the detail of how it applies to your parcel is beyond what a book can safely summarise.

Voters approved further constitutional amendments in November 2025 expanding exemptions.

Separately, under SB 1801, counties must verify homestead exemptions every five years. That matters to an investor buying from an owner-occupant — if the seller's exemption lapses or is found ineligible, the consequences follow the property.

Insurance is the second squeeze

Hail on the North Texas corridor, hurricane exposure on the coast, and the lingering effects of the 2021 freeze have pushed premiums up statewide, with averages now above \$3,500. Quote it for the specific address before you close.

A buyer's market, and what that changes

Market figures in this section are from industry reporting and are directional.

Statewide prices have declined for roughly ten consecutive months and inventory sits near balanced. Homes are averaging around eighty days to sell. The Texas Real Estate Research Center at Texas A&M forecasts 2026 sales up 2.5 percent to about 349,000 units, with a year-end median near \$334,000.

Softness on acquisition is the opportunity; softness on exit is the risk. They arrive together.

Your holding period is longer than it was. An eighty-day average market means a flip that pencils on a sixty-day sale does not pencil. Add the extra months of interest, tax and insurance before you offer.

Size the loan against cost, not only against value. Where comparables are drifting down — and in Dallas-Fort Worth and Austin they are — the value ceiling binds, and the shortfall is cash you bring.

The four metros run different races

Houston is the outlier, the only one of the big four with prices up, at about 3.2 percent year over year. Best entry-level acquisition costs in the state, most stable rental demand, on a job base spread across energy, healthcare, aerospace and the port. Gross yields run 6 to 8 percent.

Houston also has two local facts that decide more deals than the purchase price. There is **no zoning**, which means a \$180,000

house can sit ten minutes from a \$650,000 house — sometimes on the same street, sometimes with a commercial use next door. A ZIP-code median is close to meaningless here, and an ARV built from one is the most common way a Houston flip comes in short at appraisal. Use comparables from the same street or the same few blocks.

And there is the **flood map**. FEMA-zone properties trade at discounts of roughly 15 to 25 percent against comparable property outside the zone, while flood insurance runs about \$1,500 to \$4,000 a year. Those two numbers together mean something most guidance misses: some of the strongest capitalisation rates in Houston sit in moderate flood risk areas precisely because other investors will not look at them. The risk is real and it is already in the price. What ruins people is buying the discount without buying the insurance quote. Flood status also thins your resale pool, which belongs in your timeline rather than your price.

San Antonio has the cheapest entry and the highest yields — a median sale price around \$266,000, roughly half of Austin's, with days on market averaging 51 and a sale-to-list ratio of 97.8 percent. Gross yields of 7 to 9 percent are the best of the four. Vacancy is a healthy 6.5 percent. Demand comes from the military presence, USAA, Valero, HEB and the expanding north-side medical district, plus around 30,000 new residents in 2024 and steady value relocation from Austin and Dallas. Prices are off about 1.8 percent, the mildest correction of the four. The caution: the outer ring carries real rental softness.

Dallas-Fort Worth is correcting hardest, down roughly 4.1 percent year over year, while remaining the most active market in Texas by volume. Gross yields run 5 to 7 percent. You are buying into falling comparables, so your after-repair value needs to be built on the last sixty days rather than last spring. DFW is also

the highest-volume protest region in the state — and 71 percent of DFW homeowners did not file a protest in 2025.

Austin has the thinnest yields at 4 to 6 percent, on average values around \$495,000 and prices down 2.5 to 3.6 percent. A bet on the technology base and a long recovery, not a cash flow market.

What Texas gives back

No state income tax means flip profit is a federal question only. Against a state taking five to nine percent, that lands straight in your return.

The landlord framework is fast: three-day notices to vacate, eviction through the justice courts on a short timetable, no cap on security deposits, and rent control effectively banned by statute. For a buy-and-hold borrower, speed of remedy is worth real money across a portfolio.

And the demand floor is demographic rather than cyclical. Texas adds population at around 1.6 percent a year, nation-leading, across four metros large enough that no single employer carries the market.

One thing specific to auctions

Texas foreclosure auctions run on the first Tuesday of each month, at the county courthouse, and settle same-day in certified funds. Financing has to be arranged before the sale, not after you win.

The Texas checklist

1. Get the reappraised value at your purchase price, not the seller's bill. Texas assesses at 100 percent of market value.
2. Pull the full list of taxing units for the parcel and sum them — do not use a county average.
3. In suburban Houston, ask specifically whether the property is in a MUD and what it levies.
4. Diary 15 May every year and file Form 50-132. Protest annually; the reduction compounds into future years.
5. Argue market value and unequal appraisal together under §41.43.
6. Ask about the SB 2 non-homestead circuit breaker as it applies to your parcel.
7. Quote insurance for the specific address — hail, wind and freeze move it more than square footage.
8. Model an eighty-day exit, not a sixty-day one.
9. For an auction purchase, have funds arranged before the first Tuesday.

Assessment mechanics, protest deadlines and appeal routes are drawn from Texas Comptroller guidance, the Texas Property Tax Code (Title 1) including §§ 6.41 and 41.43, Form 50-132, SB 2 (88th Legislature, 3rd called session), HB 1533 and SB 1801. Effective rates vary by the combination of taxing units on a parcel and published county averages differ depending on which units are included — verify with the appraisal district. Market figures are directional.

Georgia: Start With the Number Nobody Quotes

Seventeen thousand one hundred.

That is how many apartment units are under construction in metro Atlanta, and it explains almost everything about Georgia rental arithmetic right now.

Asking rents across the metro grew 0.4 percent year over year. Vacancy sits at 6.4 percent. The market absorbed 3,400 units in the first quarter of 2026 and delivered 3,200 — roughly balanced — with that pipeline still landing behind it.

Flat rents and heavy supply is not a crisis. It is a completely different market from the one described in most “best places to invest in Georgia” articles, which are still working from 2021 rent growth.

If your pro forma assumes rents climb five percent a year in Atlanta, the pro forma is the problem. Not the market.

Market figures throughout this chapter are from industry reporting and are directional. Tax mechanics are sourced to the Georgia Department of Revenue and the Official Code of Georgia Annotated.

How Georgia actually taxes property

Before the markets, the mechanism — because Georgia’s differs from every other state in this book and my earlier draft skipped straight to an effective rate without explaining it.

Georgia assesses all property at 40 percent of fair market value, under O.C.G.A. § 48-5-7. It is a uniform statewide ratio and it is not disputable. Compare that to Texas at 100 percent, Connecticut at 70 percent, and Colorado's split school and local government rates: four states, four different mechanics, and a national rule of thumb that fits none of them.

The arithmetic runs in three steps:

Fair market value × 40% = assessed value. Assessed value – any exemptions = taxable value. Taxable value × (combined millage ÷ 1,000) = your bill.

So a property the county appraises at \$400,000 has an assessed value of \$160,000. At a combined millage of 30 — a fair approximation for metro Atlanta — the pre-exemption bill is \$4,800. Georgia's overall effective rate lands around 0.9 percent, moderate by national standards.

Fair market value is determined as of **1 January** of the tax year by the county Board of Tax Assessors. The State Revenue Commissioner's role is to check that counties assess uniformly, not to set values.

When you appeal, you are challenging the fair market value. The 40 percent ratio is applied automatically and cannot be argued.

The appeal has a three-year prize and a real risk

The Annual Notice of Assessment is the single most important document in this process. It states the county's fair market value, the 40 percent assessed value, the prior year's figures, and an estimate of the current year's tax using last year's millage. The mailing date printed on it starts your clock.

You have 45 days from that mailing date to appeal, using form PT-311A, to the county Board of Tax Assessors. Counties mail at different times, so there is no single statewide deadline — the date on your notice is the only one that matters, and late appeals are not accepted.

From there, appeals run to the Board of Equalization, a hearing officer, or arbitration, and onward to Superior Court.

Two things make Georgia distinctive here, and they pull in opposite directions.

The upside: the 299c freeze. A successful appeal locks your assessed value for **three years**. That is materially better than states where a reduction has to be won again every year. A \$50,000 reduction in fair market value drops the assessed value by \$20,000, which at 30 mills is about \$600 a year — held for three years without refiling.

The risk: Georgia is one of the few states where a failed appeal can raise your assessed value. In Texas the downside of a weak protest is wasted time. Here it is a higher bill. Review your comparable sales properly before filing, and do not appeal on principle.

To secure the freeze, carry the appeal through to a written settlement or a Board of Equalization decision rather than abandoning it after the assessor's first response.

Two costs moving the same direction

Insurance premiums have jumped 20 to 40 percent for many Georgia investors.

And reassessments in the hot submarkets — Fulton, DeKalb, Cobb — are catching up to what property actually sells for. Since value is set as of 1 January and your purchase is evidence of value,

expect the notice following your purchase to reflect what you paid rather than what the seller was carrying.

None of this is unique to Georgia. ATTOM's 2026 single-family rental report found gross yields fell in 54.8 percent of the counties it studied — 187 of 341 — as purchase prices outran rents. Georgia sits inside a national compression rather than outside it.

The rule that falls out

Buy for the rent you can collect this month. Appreciation is a bonus, not a plan.

That points at a specific band. **Class B workforce housing renting at \$1,200 to \$1,800** has the deepest tenant pool in Georgia and the least competition from new supply, because almost nothing being delivered is aimed at that renter. The 17,100 units coming are not competing for your tenant.

It also means underwriting the boring lines honestly. Vacancy at five to seven percent, not zero. Insurance at the new quote. Taxes at the post-purchase assessment. One vacancy month plus one insurance increase plus one reassessment is enough to flip a thin deal underwater, and in a flat-rent market you cannot outgrow the mistake.

For a rental loan this matters directly, because taxes and insurance both sit inside the payment. Two properties at the same price and the same rent can land on opposite sides of the 1.25 coverage line purely on the reassessment.

Where the deals are

Metro Atlanta spans 24 counties and 8,376 square miles. “Atlanta real estate” describes an area roughly the size of Israel, so the

metro median tells you very little about the deal in front of you.

South Fulton and Clayton County carry the best rent-to-price ratios inside the metro — prices in the \$200,000 to \$280,000 range against rents of \$1,500 to \$1,800, with Hartsfield-Jackson proximity underpinning demand.

East Point, College Park and south DeKalb hold the strongest investor yields in the \$200,000 to \$320,000 band, again on airport-adjacent rental demand. This is where the workforce housing thesis is easiest to execute.

Augusta runs roughly a \$240,000 median with about 7.6 percent annual rent growth. Genuine rent growth, at a moment when Atlanta's is flat.

Columbus is the cheapest serious entry in the state — properties at \$150,000 to \$175,000 with rents of \$1,200 to \$1,500, a cash flow profile Atlanta proper cannot match. B and C neighbourhoods, so screening and management matter more.

Gwinnett, Paulding and Bartow are growth rather than yield. Gwinnett draws from the Rivian plant and the I-85 technology corridor; Paulding and Bartow are the fastest-growing counties west and northwest of the city.

Atlanta proper has a median sale price around \$378,000, down about half a percent year over year, with homes taking roughly 101 days to sell. Active listings across the 28-county metro rose 28 percent year over year as rate-locked owners finally moved. More inventory, more negotiating room, slower exits.

A correction worth making

Several Georgia investment guides state that there is no state income tax on rental income in Georgia.

That is false. Georgia taxes income, and building a return projection on the claim will overstate your net. Georgia is genuinely business-friendly — a corporate rate of 5.39 percent, home prices well under the national median — but the no-income-tax advantage belongs to Florida, Texas and Washington, and this book will say so in both directions.

The north Georgia exception

The mountain communities are the one place in the state where the yield story is still dramatic. A two or three bedroom cabin around Blue Ridge can generate \$45,000 to \$75,000 a year at 55 to 70 percent occupancy, with gross yields reaching around 11.4 percent. Savannah and intown Atlanta support short-term rentals on tourism demand as well, with more regulation attached.

The financing position is the same everywhere in this book: qualify the loan on long-term rent. A cabin underwritten at 65 percent occupancy is underwritten on a good year, and occupancy is the first thing to move when the economy softens or an ordinance changes.

One thing about loan minimums

Most lending programmes carry a floor — commonly \$50,000 on short-term flip and bridge money, \$75,000 on long-term rental loans.

At the bottom of the Columbus and Augusta markets, a single property can fall under those floors. Check before you go under contract, and where a portfolio is being built, cross-collateral provisions allowing two or more properties on one loan are frequently the route through.

One for the land buyers

If any part of your purchase is rural acreage, look at Georgia's Conservation Use Valuation Assessment before you write the offer. Qualifying land in bona fide agricultural, forestry or conservation use is assessed at its **use value** rather than fair market value, and for land carrying speculative development potential the difference is large — a tract with a \$500,000 fair market value but a \$50,000 agricultural use value carries an assessed value of \$20,000 rather than \$200,000.

It comes with a ten-year covenant to maintain the qualifying use, and covers up to 2,000 aggregate acres per owner. It is a serious commitment, not a loophole, and it is irrelevant to a rowhouse in East Point. But on land it is the largest single lever in the Georgia code.

The Georgia checklist

1. Model rent growth at zero to one percent in metro Atlanta, not five.
2. Calculate tax properly: fair market value $\times$ 40 percent, minus exemptions, times combined millage $\div$ 1,000.
3. Expect the assessment following your purchase to reflect what you paid.
4. Diary the mailing date on the Annual Notice of Assessment — 45 days, form PT-311A, no extensions.
5. Only appeal with real comparable sales. A failed appeal here can raise your value.
6. If you win, the 299c freeze holds the value three years — carry the appeal to a written decision to secure it.

7. Get a current insurance quote; last year's number is 20 to 40 percent light.
8. Budget a 101-day exit in Atlanta proper.
9. Target the \$1,200 to \$1,800 rent band for the deepest tenant pool.
10. On rural land, price the Conservation Use option before you buy.

Assessment mechanics, the 40 percent ratio, appeal deadlines and routes are drawn from the Georgia Department of Revenue's Property Tax Valuation guidance and FAQ and O.C.G.A. §§ 48-5-2, 48-5-7 and 48-5-340. Millage rates are set by each taxing authority — verify with the county tax commissioner. Market figures are directional.

Ohio: The Widest Gap Between Gross and Net in America

Cleveland is the market everyone cites, and the headline numbers hold up.

Zillow's typical home value inside the city was \$120,549 in May 2026, and observed market rent was \$1,250 a month — roughly a 12.4 percent gross yield. Use HUD's deliberately conservative benchmark instead, a two-bedroom fair market rent of \$1,279 in Cuyahoga County, and you get about 12.7 percent. Other analyses put Cleveland at 9.8 to 11.3 percent on entry prices near \$110,000 to \$140,000.

Whichever source you take, it clears double digits, and almost nowhere else in the country does.

The reason is arithmetic rather than cleverness. When the denominator starts near \$120,000 instead of \$400,000, a modest rent produces a strong yield before the investor has done anything. Ohio's statewide median value is about \$226,000, roughly 64 percent of the national figure.

Market figures in this chapter are from industry reporting and are directional. Tax mechanics are sourced to the Ohio Revised Code and the Ohio Legislative Service Commission.

How Ohio taxes property, and why it is gentler than it looks

My earlier draft of this chapter treated Ohio's property tax as a straightforward burden. That is not the whole picture, and the part I left out is genuinely favourable to investors.

Ohio taxes 35 percent of true value, not market value. The county auditor determines “true value” — what the property would bring at a fair voluntary sale on the open market — and the taxable value is 35 percent of it, under R.C. 5713.03, R.C. 5715.01(B) and Ohio Administrative Code 5703-25-05(B).

So a Cuyahoga County house appraised at \$185,000 has a taxable value of \$64,750. That figure is multiplied by the combined millage of every overlapping district — school, county, municipality or township, plus special levies — then reduced by applicable credits.

Values are set on a six-year cycle with a mid-point update. Every six years the auditor conducts a full sexennial reappraisal with a site visit to every parcel. Three years later comes a statistical triennial update based on sales trends, without a physical inspection. The cycle is staggered, so different counties reappraise in different years. Cuyahoga and Hamilton completed reappraisals in 2024; Franklin and Summit in 2023.

Note also that the auditor **may** revalue a property outside the cycle if it is incorrectly valued — including after a recent sale, under R.C. 5713.01(B) and 5713.03. So a purchase can trigger a look, even though Ohio does not reset on sale the way Texas does.

House Bill 920, and why a 32 percent value increase does not mean a 32 percent bill

This is the most important thing in the chapter and I had it missing entirely.

Ohio has no cap on assessment increases. What it has instead, under a 1976 statute known as House Bill 920, is a cap on **revenue**.

When property values rise, the effective rate on existing voted levies is automatically reduced — the “tax reduction factor” — so each levy collects only the dollar amount voters originally approved. Values can climb without the levy generating a windfall.

The practical effect is striking. Cuyahoga County’s 2024 reappraisal pushed average residential values up 32.22 percent. Bills did not rise anything like that much, because reduction factors absorbed most of the operating-millage pressure. A commonly cited illustration: a 30 percent value increase producing roughly an 8 percent bill increase.

Two important qualifications.

Inside millage is not protected. Up to 10 mills may be levied without voter approval, split among counties, townships, schools and municipalities, and that unvoted millage does rise with values.

And the reduction applies in the aggregate, not property by property. If your parcel’s value rose in line with the district average, your bill is roughly flat. If it rose faster than the average, you pay more. If it rose slower, you pay less. So a well-bought property in an appreciating pocket of a slower district can still see a real increase.

Compared with Texas, where a sale resets the appraisal to your purchase price, or Georgia, where the following notice reflects what you paid, Ohio’s mechanism is considerably kinder to a buyer.

House Bill 126, and the protection recent buyers did not used to have

The second thing worth knowing, and the one most directly aimed at people doing what this book describes.

Before 2022, a recent buyer in Cleveland, Columbus, Cincinnati or Toledo could expect the school district to file a complaint with the county Board of Revision seeking to **raise** the assessed value to match the purchase price. Bills 10 to 20 percent above the assessed value were a routine consequence of buying.

House Bill 126, effective 19 July 2022, sharply restricted that. It curtailed school district authority to file Board of Revision complaints to increase values on recently sold property, and removed districts' right to appeal Board of Revision decisions to the Board of Tax Appeals, with narrow exceptions.

For residential property this is largely eliminated. Combined with the 35 percent ratio and the sexennial cycle, it makes Ohio one of the more taxpayer-favourable states for a recent buyer — which is not how Ohio is usually described.

The appeal window itself is tightly compressed, running roughly three months annually to the county Board of Revision. Diary it; there is no equivalent of Texas's rolling notice-plus-thirty-days rule.

Tax is paid in two instalments — first half in January or February depending on county, second half in June or July.

What still comes off the gross

None of the above makes twelve percent into twelve percent.

The rate is high even after the mechanisms. Franklin County's effective rate runs about 1.67 percent of market value, ranked 252nd of 3,143 US counties. A \$250,000 Columbus rental carries

roughly \$4,500 a year. That is Sun Belt money on Midwest rent, and it sits inside the payment.

The housing stock is old. Double-digit yields exist because the buildings are eighty and a hundred years old. Knob-and-tube wiring, galvanised supply lines, original slate, asbestos siding, and basements that have been wet since the Truman administration. Capital expenditure is not optional and it is not small.

Cities regulate rentals directly. Cincinnati runs a rental registration programme with periodic inspections, and unaddressed code violations draw fines starting at \$150 a day. Several Ohio cities operate something similar. Budget for compliance, and price the repairs the inspector will find.

Chapter 3 worked this arithmetic in full on a comparable property. The short version: a twelve percent gross yield on old, high-tax, low-basis stock nets to roughly five percent before financing, and can be negative after it.

What Ohio gives back on the tenancy side

The landlord framework is among the most workable in the country. No rent control anywhere in the state. Three-day notice for nonpayment. Evictions running thirty to forty-five days generally, and two to three weeks through the Hamilton County courts in Cincinnati.

For a buy-and-hold owner, speed of remedy is money. A market with a twelve percent gross yield and a nine-month eviction is worse than one with a nine percent yield and a three-week eviction, and Ohio is the second of those.

Section 8 also works differently here than investors expect. In Hamilton County the payment standards line up with market rents

across most investor-grade neighbourhoods, so a Cincinnati landlord accepting vouchers is not conceding below-market rent to do it.

Three cities, three businesses

Cleveland is the cash flow market. Citywide median sale prices range roughly \$100,000 to \$130,000 depending on provider and month, with rents at \$1,200 to \$1,300 in early 2026. Typical value is down about 2.3 percent year over year, so this is not an appreciation story. Vacancy runs mid single digits citywide but varies sharply by submarket. Ohio City, Tremont and University Circle command materially higher rents than the outlying neighbourhoods, and they are also where renovation costs run highest. Cleveland rewards buying right and managing tightly, and punishes remote absentee ownership more than any market in this book.

Columbus is the anomaly — the one big Ohio city genuinely growing, with about 200,000 residents added since 2000. Median sale price reached \$335,000 in March 2026, up 4.7 percent, with occupancy above 95 percent on well-managed property. Ohio State puts 66,000 students into the rental pool, and Intel's \$20 billion semiconductor campus in New Albany is the largest private investment in state history.

Capitalisation rates stratify cleanly. Urban cash-flow neighbourhoods — Hilltop, South Linden, Franklinton — run 7 to 10 percent. First-ring suburbs like Reynoldsburg, Gahanna and Westerville run 6 to 8. The premium suburbs, Dublin at a \$615,000 median, Powell and New Albany, run 4 to 6 percent and are bought for appreciation and tenant quality. National single-family rental capitalisation rates averaged about 7.3 percent at the end of 2025.

Two costs specific to Columbus: the 1.67 percent effective rate, and a 2.5 percent municipal income tax applying to anyone working in the city, which trims tenant take-home and therefore what the market will bear.

Cincinnati is the balanced one and the overlooked one. Median home around \$215,000 with rents near \$1,200 and capitalisation rates around 7.5 percent, on vacancy consistently below five percent. Ten Fortune 500 headquarters — Kroger, Procter & Gamble, Fifth Third, Western & Southern, Cincinnati Financial, American Financial, Cintas, Ashland, Chemed and GE Aerospace — which is more corporate headquarters per capita than most cities three times the size, and why rental demand here does not track any single industry.

Over-the-Rhine is the instructive case. Fifteen years ago it was a byword for urban decline; today it has destination restaurants and condominiums above \$400,000. Investors who bought early did extremely well. Investors buying the same story now are paying for a renewal that has already happened.

Remember the 1.8 percent city income tax and the registration requirement when modelling.

Where the loan minimums bind

Ohio is the state where lending floors matter most. With Cleveland stock trading around \$120,000 and plenty of it well below, a single house frequently falls under a \$50,000 short-term floor or a \$75,000 rental floor.

Cross-collateral — financing two or more properties on one loan — is the usual route through. Two \$90,000 rentals financed together clear a minimum that neither clears alone. Plan the financing in groups rather than one door at a time.

The Ohio checklist

1. Calculate tax on 35 percent of true value, not market value.
2. Find out where your county sits in the sexennial and triennial cycle before you model the next three years.
3. Understand that HB 920 cushions reassessment — but only in aggregate, and not on inside millage.
4. Know that HB 126 largely removed the school-district counter-appeal risk on recently sold residential property.
5. Diary the Board of Revision window; it is short and annual.
6. Underwrite the net, not the gross. Twelve percent gross is not twelve percent.
7. Walk the property, or send someone who will. Century-old stock hides its problems until demolition.
8. Check the city's rental registration requirement and budget both the fee and the calendar time.
9. Arrange local management before buying Class C. At high turnover, absentee ownership is how the yield disappears.
10. If you are buying more than one, ask about cross-collateral before you contract.

Assessment mechanics are drawn from Ohio Revised Code §§ 5713.01, 5713.03 and 5715.01(B), Ohio Administrative Code 5703-25-05(B) and 5703-25-06(F), the Ohio Legislative Service Commission's members brief on the triennial update, and published analysis of House Bills 920 and 126. Millage varies by overlapping district — verify with the county auditor. Market figures are directional.

Maryland: The Property Cannot Earn a Dollar Until the Paperwork Clears

That sentence should govern every Maryland pro forma, and almost no lender page says it.

Maryland's Reduction of Lead Risk in Housing Act sits at Title 6, Subtitle 8 of the Environment Article of the Annotated Code of Maryland. It regulates **pre-1978 residential rental property** — “Affected Properties” in the statute's language. Owner-occupied property is not regulated.

Compliance is mandatory for every pre-1978 rental dwelling unit **regardless of renovation history**. That last clause matters: gutting a rowhouse to the studs does not exempt it.

The thirty days that start at closing

Here is the provision an investor needs before any other, and one my earlier draft of this chapter missed entirely.

New registration with the Maryland Department of the Environment is required within 30 days after purchasing a rental property.

Not thirty days before your first tenancy. Thirty days from purchase. If you buy a pre-1978 rental in Baltimore and get busy with the renovation, the clock has already run.

Registration is per dwelling unit, carries a processing fee — currently around \$75 — and is valid for two years. **Renewals are due every two years, on or before 31 December, effective 1 January 2026.** Each owner operates under an MDE tracking number.

The inspection resets with every tenant

This is the second thing that surprises people, and it is the reason compliance is a recurring operating cost rather than a one-time capital item.

An accredited inspection is required **prior to every change in occupancy**. To pass, the property must be free of defective paint on both the interior and the exterior. The inspector issues a Lead Paint Risk Reduction Certificate with supporting documentation, submits a copy to MDE through the Lead Rental Certification and Accreditation database, and provides copies to the owner — who keeps one and gives one to the tenant.

All work required to meet the standard must be performed by Maryland accredited inspectors and contractors, and nobody other than accredited contractors may be in the work area while the work is being done.

There is a route out of the recurring inspection: a property tested by an MDE-accredited inspector and certified “**Lead Free**” or “**Limited Lead Free**” carries a lighter ongoing burden. It costs more up front. On a building you intend to hold for years and turn over repeatedly, run that arithmetic before defaulting to risk reduction.

What happens when a defect is found

If a Notice of Defect is received, the owner has **30 days** to either provide for the temporary relocation of all tenants — to a post-

1977 property, or to a pre-1978 property certified lead-free or meeting the risk reduction standard — or to ensure the property passes a test for lead-contaminated dust after treatment and obtain a passing certificate under the Modified Risk Reduction Standard.

Relocation at your cost, on a thirty-day clock, is a line that belongs in a reserve rather than a surprise.

The notices you must hand out

A quieter obligation, easy to miss and cheap to comply with.

Owners must distribute MDE's **Notice of Tenants' Rights** and the EPA's pamphlet **Protect Your Family From Lead In Your Home** to all new tenants of Affected Properties at the beginning of the tenancy, and to existing tenants **every two years**.

Build it into your lease pack once and it never costs you anything again.

Baltimore City stacks a second regime on top

The Baltimore-specific detail in this section is drawn from local practitioner sources rather than from the city code directly. Confirm current requirements with DHCD and Maryland counsel.

Every residential rental unit in Baltimore City — single-family, rowhouse, multi-family, basement apartment — requires a **Rental Facility License** from the Department of Housing and Community Development. There is no small-landlord exemption. The fee runs around \$30 per unit annually, and the license inspection is required every two years.

The two regimes interlock. DHCD checks MDE enrollment before issuing a license. No enrollment, no license. Enrolled but

missing a current risk reduction certificate, same result. So the sequence for a pre-1978 Baltimore City property is: register with MDE, schedule the accredited inspection, pass the dust wipe, and only then submit the DHCD application. A lead certificate runs roughly \$175 to \$275 for a typical rowhouse and takes two to three weeks to schedule and complete.

The enforcement exposure is what makes this more than paperwork. Practitioners report penalties of up to \$1,000 per day per unit for occupancy without a current lead certificate, and Maryland rent court routinely dismisses eviction filings when a tenant produces evidence of an expired registration. There is also authority under Maryland Real Property law limiting an unlicensed landlord's ability to enforce lease terms and collect rent, with rent escrow available to tenants.

I am stating that last point carefully rather than confidently, because the precise scope of the remedy is a question for a Maryland attorney. But the direction is clear enough to plan around: **in Baltimore City, the licence and the lead certificate are conditions of being able to collect rent at all, not merely conditions of being compliant.**

Baltimore County runs a separate regime under Code Title 35, administered by the Office of Permits, Approvals and Inspections. Its registration framework covers most residential rentals **including single-family detached homes**, which catches out-of-county landlords who assume single-family is exempt. Same state lead rules apply to any pre-1978 unit either way.

Harford County runs its own system again. Confirm which jurisdiction governs the address before you close.

What that does to financing

The compliance calendar belongs in the loan term, not in the footnotes.

On a pre-1978 property, the sequence is registration within thirty days of purchase, then accredited inspection, then any treatment required, then the certificate, then — in Baltimore City — the DHCD licence. Only then can the unit legally produce income.

Two positions worth taking on a Maryland file. Build the compliance cost into the renovation budget as a line item with its own quote, not as contingency. And where a twelve-month term is tight against that chain, say so at the start — the extension conversation is much cheaper before the loan closes than in month ten.

Two Marylands, and the average describes neither

Market figures in this section are from industry reporting and are directional.

The statewide median home price is about \$430,000, up 3.8 percent year over year, with an average capitalisation rate around 5.5 percent — the profile of a mid-range appreciation market.

Baltimore City's median sits near \$218,000 to \$232,000 with capitalisation rates around 8 percent — the profile of a cash flow market.

Both figures are correct. They describe different businesses, and an investor who takes the state average as a guide will underwrite neither properly.

The Washington-adjacent counties — Montgomery, Prince George's, Frederick — carry the high prices and the federal, biotechnology and defence employment that supports them. Yields are thin; the play is appreciation and tenant quality.

Baltimore City and County carry the yield.

Statewide, rents are rising modestly: a median one-bedroom at \$1,450 and two-bedroom at \$1,750, up about 3 percent. Vacancy across Maryland is 5.8 percent against a national 7.2, so the demand side is genuinely tight.

Where the numbers land

Baltimore City has a median home price around \$218,000, with median rent near \$1,600 and three-bedroom rents around \$2,235. Capitalisation rates run 7 to 10 percent by neighbourhood, averaging about 8. Vacancy has fallen to roughly 5.8 percent from a 9.6 percent peak, helped by very little new construction, and the city sits about 9 percent below the national affordability line, which keeps pulling renters priced out of Washington and Philadelphia.

The offset is the tax rate: about 1.72 percent, the highest in Maryland, sitting inside the payment. A property clearing 8 percent gross in Baltimore City is not clearing 8 percent net.

Baltimore County is the risk-adjusted middle. Acquisitions of \$230,000 to \$320,000, averaging near \$280,000, against three-bedroom rents of \$1,700 to \$2,100 and occupancy of 94 to 96 percent. Gross yields of 6 to 10 percent before expenses, on a tenant base of healthcare workers, federal employees and military families that does not evaporate in a downturn. Significant pre-1978 stock here too.

The neighbourhoods diverge sharply. Fells Point and Canton run 15 to 25 percent above the city median — studios at \$1,250 to \$1,450, one-bedrooms at \$1,600 to \$1,900, two-bedroom row-houses at \$2,000 to \$2,600 depending on condition and block, against a city median one-bedroom near \$1,350. A two-bedroom rowhouse at \$380,000 renting for \$2,200 pencils to roughly 6.9

percent gross. Higher rents, higher entry, higher operating costs — brick repointing alone runs \$8 to \$15 per linear foot on that stock. Hampden comes in lower. Harbor East skews higher on newer product. Charles Village and Mid-Town Belvedere run on university demand. Towson tracks the university and hospital corridor. Bel Air, Aberdeen and Edgewood draw from Aberdeen Proving Ground.

That spread is the argument against pulling a median rent for a ZIP code and calling it underwriting.

Ground rent

Many Baltimore rowhouses sit on ground leases, where the buyer owns the house but owes a small annual ground rent to a separate holder.

The sums are usually modest. An unregistered or unpaid ground rent, however, is a title problem rather than a budget problem, and it surfaces at closing or at refinance. Have title look for it specifically on any older Baltimore purchase.

Maryland is tenant-friendly, and you should price that

Worth saying plainly, because this book says the opposite about other states. Texas gives three-day notices and evictions in weeks. Ohio gives thirty to forty-five days. Maryland does not. It is a tenant-friendly jurisdiction with increasingly specific landlord-tenant law, security deposits capped at one month's rent, and fair housing and local code obligations layered on top.

That does not make Maryland a bad market — the Baltimore yields are real and the vacancy figures are genuinely tight. It means the cost of a bad tenancy is higher here, so screening, documentation and local management earn their keep rather than being optional.

Put a number on it: at \$1,650 in monthly rent, a 21-day vacancy is roughly \$1,155 in lost income before utilities, maintenance or financing. Now imagine that vacancy is a contested eviction filed by a landlord whose registration has lapsed.

The Maryland checklist

1. Establish the build year. Assume pre-1978 in Baltimore City.
2. **Register with MDE within 30 days of purchase.** The clock starts at closing.
3. Diary the two-year renewal — due on or before 31 December.
4. Budget an accredited inspection at **every** change in occupancy, and price the lead-free certification route if you plan to hold and turn over repeatedly.
5. Identify the governing jurisdiction — Baltimore City, Baltimore County and Harford run different systems, and the County covers single-family detached.
6. In Baltimore City, sequence it: MDE first, DHCD second. The licence depends on the lead status.
7. Put the Notice of Tenants' Rights and the EPA pamphlet in your lease pack, and diary the two-year redistribution to existing tenants.
8. Have title search specifically for a ground rent on older row-houses.
9. Add the whole compliance chain to the loan term before choosing it.

Lead law provisions are drawn from the Maryland Department of the Environment's guidance for rental owners, Md. Code Environment §§ 6-801, 6-811, 6-812, 6-815, 6-816, 6-817, 6-818, 6-819, 6-820 and 6-823, COMAR 26.16.02.02, and Maryland OneStop. Baltimore City and County licensing detail is from local practitioner sources and should be confirmed with the issuing agency. Market figures are directional. This is a reference written by a loan broker, not an attorney — verify current requirements with Maryland counsel.

Michigan: The Reputation Is Wrong at Both Ends

Michigan gets described as affordable Midwest cash flow. That is half true, and the half that is false costs people money.

But before the markets, the tax mechanism — because Michigan's is unlike any other in this book, and because I had it named wrongly in an earlier draft of this chapter.

It is called the Principal Residence Exemption, and it is worth exactly 18 mills

Investors coming from other states reach for the word “homestead.” Michigan does not use it this way. For property tax purposes the exemption is the **Principal Residence Exemption**, universally shortened to PRE, created under MCL 211.7cc and MCL 211.7dd.

It is a different thing from the Michigan Homestead Property Tax Credit, which is an income tax credit claimed on a state return. Two different reliefs, similar names, and confusing them is how out-of-state buyers get the arithmetic wrong.

Here is what the PRE actually does.

In 1994 Michigan voters approved Proposal A, which replaced local school operating millages with a 6-mill State Education Tax and allowed local school districts to levy **up to 18 mills** for operating purposes. The PRE exempts an owner's principal residence

from that local school operating millage, up to 18 mills.

Rental property is not eligible. Neither are second homes or cottages. They pay the full millage.

So the delta between an owner-occupied house and the identical house as a rental is up to 18 mills of school operating tax. Not a vague “materially higher rate” — a specific, calculable number.

On a property with a taxable value of \$150,000, 18 mills is **\$2,700 a year**. That is the amount a rental pays and an owner-occupant does not.

One refinement: the PRE removes only the school *operating* levy. School *debt* millage still applies to everyone, and typically runs one to five mills depending on the district.

Taxable value is not market value

The second thing to get right, and the one that trips up spreadsheet models built in other states.

Michigan computes property tax on **taxable value**, which is not the same as market value and not the same as state equalised value. Michigan’s constitution caps how fast taxable value can grow year to year.

That cap has a consequence at sale that you must confirm with the local assessor before you model anything: a long-held property may carry a taxable value well below what the market would suggest, and a change of ownership affects it. Do not take the seller’s tax bill and do not take a percentage of your purchase price. Ask the assessor for the figure that will apply to you.

The arithmetic to run is straightforward once you have the right inputs: **taxable value × 0.018** is what the loss of the PRE costs

you annually, and that sits on top of every other millage the parcel carries.

The claim procedure, and how it goes wrong

The exemption is not automatic. An owner files Form 2368, the Principal Residence Exemption Affidavit, with the assessor for the city or township. When a property is sold or its use changes, the exemption must be rescinded.

If a claim is denied, an appeal runs to the Small Claims Division of the Michigan Tax Tribunal within 35 days of the denial. And approved claims remain subject to audit by local units and counties — where an exemption is found to have been ineligible, it can be denied for the current year and for **any of the three immediately preceding years**.

That last provision is the one investors should note. If you buy a property whose seller was claiming a PRE they were not entitled to, or if you leave an exemption in place on a house you have converted to a rental, the exposure runs backwards three years.

Wrong in both directions

Market figures in this section are from industry reporting and are directional. Verify with a local broker and the county assessor.

Detroit looks better than it is. Median home prices of \$85,000 to \$105,000 against rents of \$1,100 to \$1,300 produce headline capitalisation rates around 11 percent, among the highest in the country. Then the tax rate takes its cut — Detroit's effective rate is reported around 2.8 percent, the highest of any major Michigan city — and so does insurance, and so does the maintenance profile

of housing stock that has been standing a long time. The gross figure is real. It is not what you keep.

Grand Rapids looks cheaper than it is. A median around \$325,000 to \$345,000 against rents near \$1,640 gives an estimated capitalisation rate of about 3.23 percent — below the Michigan average of 3.87 and below the national 3.81. That is not a cash flow market at median prices, whatever the state’s reputation says. It is a value-add and appreciation market and should be underwritten as one.

So “investing in Michigan” describes a spread from a \$75,000 house at an 11 percent gross yield to a \$625,000 house at 5 percent. One state, one search term, two completely different businesses.

The four tiers

Core Detroit offers entry as low as \$75,000 in neighbourhoods like Chadsey Condon and Warrendale, with citywide medians of \$85,000 to \$105,000 and rents of \$1,100 to \$1,300. Corktown has drawn particular attention since Ford’s Michigan Central Station investment.

Two cautions. Detroit requires rental registration and periodic inspections through the Buildings, Safety Engineering and Environmental Department, so a property cannot quietly operate unregistered. And the appreciation data genuinely conflicts: Redfin has citywide prices up about 2.1 percent year over year while Zillow has average values down about 3.9 percent over a comparable window. When two reputable sources disagree by six points, the honest conclusion is that citywide averages are not telling you anything useful about your block. Pull sourced comparables for the specific street before you underwrite an exit.

The inner-ring suburbs — Royal Oak, Ferndale, Berkley, Birmingham — run \$295,000 to \$625,000 with rents of \$1,850 to \$2,800 and gross yields of 5 to 7.5 percent. Thinner than core Detroit, but paired with strong schools, lower tenant turnover, and an exit that includes retail homebuyers rather than only other investors. For a first Michigan rental, this tier is the most forgiving.

Grand Rapids has median sale prices around \$325,000, up roughly 3 percent, at \$208 per square foot, with homes taking about 55 days to sell against a national median of 42. Vacancy is 5.2 percent and the metro's median household income is \$52,400, which is the ceiling on what the broad rental market can pay. Insurance is reasonable by Michigan standards at \$1,100 to \$1,500 a year. The tenant pools do not overlap, and treating them as interchangeable is the local mistake: a ranch in Wyoming or Kentwood will not rent for what a Heritage Hill carriage house rents for.

Ann Arbor is anchored by the University of Michigan and its 53,488 students. Reliable occupancy on a fixed academic calendar, at prices that reflect everyone already knowing it.

Statewide for context: Michigan's median sale price sits around \$286,900 to \$293,956 depending on source, with average rents near \$1,400 and homes moving in 33 to 34 days. The \$150,000 to \$300,000 band is where yield and appreciation both remain plausible. Grand Rapids and Ann Arbor have roughly 3,500 new units completing, which loosens pricing that scarcity had propped up.

Landlord law, in short

Workable — better than Maryland without matching Texas. Seven-day demand for possession on nonpayment. Eviction through the district courts; in Detroit that is the 36th District Court, and four to six weeks from filing to judgment is realistic. No rent control

anywhere in the state. Security deposits capped at one and a half months' rent.

Detroit's rental registration and inspection requirement is the compliance item to budget for, in money and in calendar time before a unit can legally produce income.

Where the loan minimums bind hardest

With entry-level Detroit stock at \$75,000 to \$105,000, a single house frequently falls under a \$50,000 short-term floor or a \$75,000 rental floor. Cross-collateral across two or three houses is the usual route through. Plan the financing in groups rather than one door at a time.

The Michigan checklist

1. Ask the assessor for the **taxable value** that will apply after your purchase — not the seller's bill, not a percentage of your price.
2. Calculate the PRE delta: taxable value $\times$ 0.018 is what the property pays as a rental that it would not pay as a principal residence.
3. Remember school debt millage still applies on top, typically one to five mills.
4. If the seller held a PRE, make sure it is rescinded at closing — audits reach back three years.
5. Pull block-level comparables in Detroit; citywide averages disagree by six points.
6. Confirm the Detroit registration and inspection requirement and budget the calendar time.

7. Underwrite Grand Rapids as value-add, not as cash flow.
 8. Group the financing if you are buying more than one low-basis property.
-

Principal Residence Exemption provisions are drawn from the Michigan Department of Treasury's PRE guidelines and background pages, MCL 211.7cc and MCL 211.7dd, and the Michigan House Fiscal Agency legislative snapshot. Market figures are from industry reporting and are directional. Taxable values and millage rates are parcel-specific — confirm both with the local assessor before relying on any number here.

Pennsylvania: Nobody Has Re-assessed, and That Is the Whole Game

Pennsylvania is the most decentralised property tax system in the United States — 67 counties, roughly 2,562 municipalities and 500 school districts, each setting its own millage and managing its own assessment roll.

There is **no statewide reassessment cycle**. Each county chooses its own schedule, and many have gone twenty to fifty years without a countywide update.

Allegheny County — which is Pittsburgh — last completed a full reassessment in **2012**. Every assessed value in the county is still expressed in 2012 dollars.

If you understand what the state does to bridge that gap, you understand Pennsylvania, and you understand why the appeal is the single largest lever available to an investor here.

Market figures in this chapter are from industry reporting and are directional. Tax mechanics are sourced to Pennsylvania statute and the State Tax Equalization Board.

The Common Level Ratio

Because assessments are frozen at a base year, the Pennsylvania State Tax Equalization Board calculates an annual **Common Level**

Ratio for each county — the ratio of assessed values to recent arm’s-length sale prices. It is the only tool that equalises stale assessments against current market values, and under 53 Pa.C.S. § 8842(b) it becomes the operative number in an appeal when it varies from the county’s predetermined ratio by more than 15 per-cent.

Allegheny County’s CLR has been falling steadily as market val-ues rose while assessments stood still:

Year	CLR
2022 (before court ruling)	81.1%
2022 (after)	63.6%
2024–25	54.5%
2026	50.14%
2027	49.3%

At a 50.14 percent ratio, a home worth \$300,000 today should be assessed at roughly \$150,420. If the 2012 base-year assessment on the parcel implies a higher market value than that, the owner has grounds to appeal.

This is why assessment appeals in Allegheny County have been unusually successful for several years running, and why a falling CLR is good news for an owner: it takes a smaller gap between assessed and market value to win a reduction.

The calculation, in three steps:

Assessed value — the county’s figure, in base-year dollars.
Common Level Ratio — the bridge to current market value where the assessment is stale. **Tax** — assessed value × combined millage ÷ 1,000.

Three bills, three deadlines

Pennsylvania sends the bill in pieces. County, municipality and school district each levy separately, collect separately and run their own rules.

For Pittsburgh, the components as reported for 2026 are county 6.43 mills, city 8.06 and school district 10.25, giving a combined figure near **24.74 mills** — though published totals differ somewhat depending on the year and the source, so confirm the current figures against your actual bills.

Allegheny's effective rate runs around 2.00 percent, the highest of any Pennsylvania county — a product of relatively low median home values against substantial school and municipal millage. Within the county the spread is wide, with Pittsburgh proper carrying the heaviest combined rate among its 130 municipalities.

The homestead exclusion, where it applies, reduces only the school district portion of the bill and the amount varies by district. It is irrelevant to an investor holding non-owner-occupied property.

Two increases, not one

My earlier draft of this chapter mentioned a single increase. There were two, in consecutive years, and both are still working through bills.

Allegheny County raised its millage 36 percent in 2025 — from 4.73 to 6.43 mills — its first increase since 2012, driven by declining commercial assessments and expiring federal relief funding.

The City of Pittsburgh added a 20 percent increase in 2026, its first since 2015. Pittsburgh Public Schools added 2 percent.

The commercial decline behind the county increase is worth noting on its own. In 2026, downtown wards saw commercial building value fall from \$2.62 billion to \$2.39 billion, down 8.63 percent year over year and outpacing the countywide decrease. As commercial assessments fall, the burden shifts.

The newcomer appeal, and why it matters more here than in Ohio

Here is a risk Pennsylvania carries that Ohio removed.

Because assessments are frozen at 2012, a property that sells today at market value creates an obvious gap between its sale price and its assessed value. School districts, whose funding depends on that assessment, can and do file appeals after a sale to raise the assessed value toward the purchase price. These are known locally as newcomer appeals.

Ohio largely ended this for residential property with House Bill 126 in 2022. Pennsylvania has not. A buyer in Allegheny County should assume the purchase itself may attract an appeal, and should model the tax at something closer to the post-appeal figure rather than the seller's current bill.

That cuts both ways, and it is the reason the CLR matters so much: if the district appeals, the CLR is also your defence, because it caps the assessment at current market value multiplied by the ratio rather than at the full purchase price.

How to appeal, and when

In Allegheny County, annual appeals are filed with the **Board of Property Assessment Appeals and Review**. The window for the

2026 tax year ran from 1 July to 2 September 2025; the 2027 deadline is 1 September 2026. Confirm the current window with the county, because it is annual and unforgiving.

Bring recent comparable sales or a current appraisal as your market-value evidence. The CLR supplies the rest of the arithmetic.

If the board denies you, there are 30 days to appeal to the **Board of Viewers**, which hears the case afresh, and from there to the Court of Common Pleas.

One thing hanging over all of it: Pittsburgh Public Schools is suing Allegheny County to force a countywide reassessment, and Pittsburgh City Council passed a resolution asking the county to reassess before enacting the 2026 millage increase. Both of the county's last two reassessments were court-ordered. If a reassessment happens, the arithmetic in this chapter changes wholesale — properties in fast-growing neighbourhoods are currently under-assessed and would rise, while declining areas would fall. Anyone buying in Allegheny County on a multi-year horizon should treat that as a live possibility rather than background noise.

Neither city is the state median

Pennsylvania's statewide median sits near \$289,200. Philadelphia's median sale price is about \$245,000, up roughly 4.3 percent year over year. Pittsburgh's is about \$240,000 to \$242,300.

Both big cities sit *below* the state figure — the reverse of the usual pattern where metros pull the average up. Philadelphia, unlike Allegheny, completed a reassessment in 2023 and assesses at 100 percent of market value, so it does not carry the same stale-base-year dynamic.

Pittsburgh: the yield market, with a caveat

Capitalisation rates run about 5.5 percent in premium neighbourhoods like Squirrel Hill, Shadyside and East Liberty, and 7 to 9 percent in higher-yield submarkets such as Carrick and South Oakland. Lawrenceville and Bloomfield can reach 8 to 10 percent gross on the right deal.

Rents sit roughly 22.5 percent below the national median of about \$2,000 a month. That sounds like a weakness and functions as a strength: tenants have few cheaper alternatives inside the market, so occupancy holds. Housing stock skews heavily pre-1950, which limits new supply, and residential building permits remain well below historical averages.

The premium tier is a different business. Squirrel Hill North's typical value reached \$757,764 in April 2026, up 5.3 percent, with Squirrel Hill South at \$477,641 — professional-tenant markets next to Carnegie Mellon and Pitt, 4 to 5 percent gross yields, lowest turnover in the metro. The tenant base overall leans on CMU, Pitt and UPMC, the region's largest employer.

The caveat is the tax. At roughly 2.00 percent effective, plus two consecutive years of increases, an 8 percent gross yield in Carrick nets materially less than the same 8 percent in a one percent state.

Philadelphia: thinner yields, deeper tenant pool

Metro rent averages \$1,580, up 3.7 percent, with vacancy tight at 4.8 percent and the tightest occupancy in University City, Center City and Fairmount. Center City one-bedrooms lease between \$1,950 and \$2,400.

Premium submarkets — Rittenhouse Square, Old City, Society Hill, Logan Square — produce 4 to 5 percent gross yields, paired

with near-zero vacancy and the strongest professional tenant pool in the metro. Old City's typical value was \$373,729 in March 2026, essentially flat; Rittenhouse typically runs above \$650,000.

The stronger investor tier is Fishtown, Northern Liberties, Graduate Hospital and Bella Vista, where Fishtown reached \$388,997 in April 2026, up 4.0 percent.

The employment base underwrites it: Philadelphia added 46,500 jobs in 2025, with Comcast, Penn Medicine, the University of Pennsylvania, CHOP, Aramark and FMC anchoring demand. Median household income is \$52,889 — the ceiling on what the broad rental market can pay.

Beyond the two cities

Allentown, Harrisburg, Erie, Scranton, Reading and Lancaster all have real investor markets. Erie, Scranton and Reading carry low prices against solid rents, which is where the strongest cash flow ratios in the state tend to sit. Harrisburg's demand is government-anchored and unusually stable.

Note that every one of these sits in a different county with its own base year and its own CLR. Check both before you model anything.

Old stock is the other constant

Pittsburgh's inventory skews pre-1950 and much of Philadelphia's rowhouse stock is older still. That is why the yields exist and it is also where the capital expenditure comes from. Ten to fifteen percent contingency on a renovation scope is a working minimum.

Rental licensing, inspections and lead obligations are set at municipal level in Pennsylvania and vary meaningfully between Philadelphia, Pittsburgh and the smaller cities. Confirm what applies at the specific address before closing. Pittsburgh carries some additional renter protections beyond the state framework, though the overall balance is workable. There is no rent control.

The Pennsylvania checklist

1. Find out the county's base year and its current Common Level Ratio before anything else.
 2. Multiply current market value by the CLR to see what the assessment *should* be — if the actual assessment implies more, appeal.
 3. Diary the county's annual appeal window. In Allegheny it closes in early September for the following tax year.
 4. Expect a possible school-district newcomer appeal after your purchase, and model the tax accordingly.
 5. Use the CLR as your defence if one is filed — it caps the assessment at market value times the ratio.
 6. Budget for three separate bills with three deadlines.
 7. Treat a court-ordered Allegheny reassessment as a live possibility on any multi-year hold.
 8. Budget ten to fifteen percent contingency on pre-1950 stock.
 9. Check municipal licensing at the address, not the state.
-

Assessment mechanics are drawn from Pennsylvania's General County Assessment Law, 53 Pa.C.S. § 8842(b), and Common Level Ratios published annually by the Pennsylvania State Tax Equalization

Board. Millage figures and increase percentages are from Allegheny Institute for Public Policy analysis and county publications; published combined millage totals differ between sources, so verify against your actual bills. Market figures are directional.

Massachusetts: Where the Risk Is Legal, Not Arithmetic

This is the one state in this book where I would tell you to read the law before you read the spreadsheet.

Most states penalise landlords who act in bad faith. Massachusetts attaches consequences to getting the procedure wrong, and in two specific areas those consequences are severe enough to change which properties are worth buying.

The Lead Law

The Massachusetts Lead Law, codified at M.G.L. c. 111 §§ 189A–199B, requires the **removal or covering of lead paint hazards in homes built before 1978 where any children under six live**. Not disclosure, as under federal law — removal or covering.

Hazards include loose lead paint, lead paint on windows and friction surfaces, and other surfaces accessible to children. The obligation falls on owners, and it applies to rental property and owner-occupied single-family homes alike.

Compliance runs in a sequence: hire a licensed lead inspector who tests the home and records every hazard, then have the de-leading work done by a trained and licensed person.

Three things the Commonwealth states plainly that surprise out-of-state buyers.

You cannot evict, or refuse to rent to, anyone because of lead paint. That is discrimination and it carries its own penalties.

If a child is lead poisoned by hazards where the child lives, you are legally responsible under M.G.L. c. 111 § 199 — **strict liability**, meaning the injured party does not have to prove negligence and you can be liable even if you did not know lead paint or a child under six was present.

And you cannot contract your way out. An agreement in which a tenant accepts the presence of lead paint does not protect you. The state says so directly.

The ninety days that apply to you

Here is the provision that matters most to an investor, and that most general guidance omits.

A new owner of a pre-1978 home in which a child under six will live, or continue to live, must have it deleaded or brought under interim control within 90 days of taking title.

Not ninety days from a notice. Ninety days from closing. Real estate agents are required to tell prospective purchasers this before a purchase and sale agreement is signed, and buyers get at least ten days to have a lead inspection or risk assessment if they want one.

If you are buying an occupied pre-1978 building in Worcester or Springfield with a young family in one of the units, the clock starts the day you take title. Arrange the work to *begin* immediately rather than planning to finish inside ninety days.

Interim control is the practical path, and it has a shelf life

My earlier reading of this state was that strict liability was simply an unavoidable feature of pre-1978 stock. That is wrong, and the correction matters.

Since a 1993 amendment, **an owner is not strictly liable if a Letter of Compliance or a Letter of Interim Control is in effect.**

A Letter of Interim Control requires a licensed risk assessor to confirm hazards have been contained — specialised coatings, enclosures and similar measures rather than full removal. It is valid for one year and can be renewed once after reinspection, for a **maximum of two years total**. During that period you are shielded from strict liability under § 199.

At the end of two years, full compliance is required if a child under six still lives there, even if the property has changed hands. And if the letter lapses without reinspection, the protection lapses with it. The annual renewal is the thing owners forget.

A Letter of Full Compliance does not expire. It also does not certify that a dwelling is lead-free, so the owner still has to check the property routinely.

The insurance consequence

Standard landlord policies commonly exclude lead liability. Without a Letter of Compliance or Interim Control, you are likely uninsured for the single largest liability the property carries.

There is one carve-out worth knowing, and it is tied to that ninety-day window. **An insurer providing liability coverage is required to extend lead liability coverage to a new owner who obtains a Letter of Compliance or Interim Control within 90**

days of taking title — retroactive to when the owner took title, or to when the liability policy took effect if later.

Miss the window and that retroactive coverage is gone.

Massachusetts also offers help with the cost. There is a state income tax credit equal to the lesser of your actual deleading cost or **\$1,500 per dwelling unit** for full deleading, with a smaller credit for interim control. MassHousing's Get the Lead Out programme offers loans from \$30,000 for a single-family up to \$45,000 for a four-family, with 0 percent deferred loans available to income-eligible owner-occupants with a child under six.

The security deposit statute

M.G.L. c. 186 § 15B is the strictest deposit law in the country, and it is a liability regime rather than a forfeiture one. The requirements, in the order they happen:

The deposit is capped at one month's rent.

A written, signed Statement of Condition must be given to the tenant within ten days of the start of the tenancy, listing all existing damage including damage in common areas. The tenant has fifteen days to dispute it. Fail to provide it and you lose the right to deduct for damage at all.

The deposit must sit in a separate, interest-bearing account in a Massachusetts bank, beyond the reach of your creditors, and you must give the tenant the bank's name, location and account number within thirty days of receipt.

Interest is payable annually.

At the end of the tenancy you have thirty days to return the deposit, or to deliver an itemised list of damages that is signed under the pains and penalties of perjury, itemises the damage and the repairs needed in detail, and includes written evidence — invoices,

bills, receipts or estimates. Deductions are limited to unpaid rent, unpaid water charges, unpaid taxes and damage. Reasonable wear and tear is not deductible.

What actually triggers treble damages, precisely

I want to be careful here, because the common statement of this rule is broader than the law.

It is frequently said that any procedural violation of § 15B produces automatic treble damages. The Supreme Judicial Court has held otherwise. In *Phillips v. Equity Residential Management, LLC*, 478 Mass. 251 (2017), the court held that **a tenant is entitled to treble damages only for those violations of the act that specifically call for such an award**. Other violations generally require immediate return of the deposit, which is serious but is not the same thing.

The three violations that do carry treble damages plus court costs and attorney's fees are:

1. Failing to place the deposit in a separate Massachusetts interest-bearing account;
2. Failing to return the deposit, or the balance of it, within thirty days after the tenancy ends;
3. Failing to transfer the deposit to the new owner when you sell.

That third one catches investors specifically. When you sell a building holding tenant deposits, the deposits and accrued interest must transfer to your successor, and the successor becomes liable for them. It is an easy thing to overlook at a closing.

Treble damages do not require the tenant to prove bad faith, and returning the deposit late but before litigation does not cure it — see *Taylor v. Beaudry*, 75 Mass. App. Ct. 411 (2009).

Separately, failing to pay the interest owed on a deposit exposes a landlord to damages equal to three times the interest owed, with costs and fees.

Short lets are outside all of this: § 15B(9) exempts any tenancy of one hundred days or less taken for a vacation or recreational purpose.

The 2025 amendment that changes the calculus

Section 15B was amended by St. 2025, c. 9, §§ 54–55, effective 1 August 2025.

The amendment permits a landlord and tenant to **agree on a non-refundable fee in lieu of a traditional security deposit**. The arrangement is optional and must be mutually agreed.

That is genuinely new, and it changes advice that has been standard here for years. Many experienced Massachusetts operators simply never took a deposit, on the reasoning that losing the cushion cost less than one procedural slip. There is now a statutory middle path.

Whether it suits your situation is a question for your own Massachusetts attorney. But it is worth asking about, and any guidance written before August 2025 will not mention it.

Boston does not cash flow

Market figures in this section are from industry reporting and are directional.

Boston's median home price sits near \$747,000 against a median rent around \$3,300 — roughly a 5.3 percent gross yield before a dollar of tax, insurance, water or maintenance, on prices about 86 percent above the national median. It is an appreciation and preservation market, not an income one.

Statewide, average fair market rent is about \$2,120 against a national \$1,551, sixth highest in the country. Those rents are strong. Prices rose faster.

Worcester, second-most populous city in the Commonwealth with a metro of 866,866, has median rents near \$1,983 against homes in the \$300,000s — a materially better ratio than anything inside Route 128, with Boston commuters supporting demand. **Springfield** is cheaper still and ranked ninth on Buildium's 2026 up-and-coming markets list. **New Bedford and Fall River** carry the lowest entry prices in the state with solid occupancy. **Lowell and Quincy** sit in between. **Cambridge and Somerville** are university and biotechnology markets bought for appreciation rather than income.

The triple-decker

The three-unit wood-frame house is the Massachusetts asset worth naming. It is residential for most lending purposes and produces three rents from one roof and one tax bill, which is why the format dominates Worcester and the Springfield corridor.

On a rental loan it usually underwrites more comfortably than a single-family at the same price, because the income side of the ratio is three tenancies rather than one. A single vacancy costs a third of the rent rather than all of it.

It is also, almost invariably, pre-1978.

The Massachusetts checklist

1. Establish the build year before anything else. Assume pre-1978 in Worcester, Springfield, New Bedford and Fall River.
2. If a child under six will live there, start the ninety-day clock at closing, not at notice — and arrange the work to begin immediately.
3. Decide between full deleading and interim control knowingly. Interim control buys two years and shields you from strict liability while it is in force; it does not remove the obligation.
4. Get the Letter of Compliance or Interim Control inside ninety days to preserve retroactive lead liability insurance coverage.
5. Claim the deleading tax credit and look at MassHousing's Get the Lead Out loans.
6. On deposits, get the three treble-damage triggers right above all else: separate Massachusetts account, thirty-day return, and transfer on sale.
7. Ask your attorney about the August 2025 non-refundable fee option.
8. Choose a loan term with room for inspection, deleading and tenancy or sale.

Lead Law provisions in this chapter are drawn from Mass.gov's Learn about Massachusetts Lead Law, the Commonwealth's Property Transfer Lead Paint Notification, and M.G.L. c. 111 §§ 189A–199B. Security deposit provisions are drawn from M.G.L. c. 186 § 15B as amended by St. 2025, c. 9, §§ 54–55, and from the cited Massachusetts appellate decisions. This is a reference written by a loan broker, not an attorney. Verify current statutory requirements with Massachusetts counsel before relying on anything here.

Connecticut: Where the Town Line Is Worth More Than the House

There is a house in Hartford and a house in Greenwich. Same house — same three bedrooms, same square footage, same condition, both worth \$400,000 on the open market.

One carries a property tax bill of \$19,586 a year. The other carries \$2,835.

Not a typo. Not a difference in assessed value, because we have agreed the two houses are worth the same. Nearly **seven times**, on identical property, inside one small state.

If you understand why that happens, you understand Connecticut. If you do not, this state will take money from you in a way that never appears until the deal is already done.

The mechanism

Connecticut assesses every property at seventy percent of its fair market value. That part is uniform statewide and it is the easy half. Our \$400,000 house is assessed at \$280,000 everywhere in the state.

The other half is where it comes apart. Each of Connecticut's 169 municipalities sets its own mill rate through its own budget process, with no state ceiling and nothing pulling them toward one another. A mill is one dollar of tax per thousand dollars of assessed value.

The formula, in the state’s own words: **(Assessment × Mill Rate) ÷ 1,000 = your tax bill.**

Here is what that produces on the same \$280,000 assessment, using the official real and personal property mill rates for fiscal year 2027:

Town	Mill rate	Annual tax
Hartford	69.95	\$19,586
Waterbury	43.34	\$12,135
New Haven	39.962	\$11,189
Stamford	28.47	\$7,972
Bridgeport	27.95	\$7,826
Fairfield	19.19	\$5,373
Darien	16.05	\$4,494
Westport	13.20	\$3,696
Greenwich	10.125	\$2,835

Hartford to Greenwich is a spread of \$16,751 a year on the same house.

Note also what the table does *not* show. These are base municipal rates only. Hartford, Stamford and other towns operate special service districts that levy additional mills on top — Hartford’s Business Improvement District adds 1.7294 mills, its Park Street Special Services District 3.50. If your property sits inside one, add it.

Motor vehicles are capped separately at 32.46 mills, which is why Hartford, Waterbury and New Haven all show 32.46 for vehicles rather than their much higher real property rate. That column confuses people; it is irrelevant to a rental.

The two-year lag

One mechanic that catches investors and that the state states plainly: **mill rates for a given fiscal year are based on the grand list from two years prior.**

The fiscal year 2026 rates were set off the October 1, 2024 grand list. The fiscal year 2027 rates in the table above come off the October 1, 2025 list.

That lag means two things. A revaluation does not hit your bill immediately — there is a delay before the new assessments feed through into rates. And a rate you look up today is describing a valuation snapshot taken up to two years ago, which is worth remembering when comparing a fast-moving market against a slow one.

Connecticut requires each town to revalue on a five-year cycle.

The instruction nobody follows

Pull the mill rate for the exact address, for the current fiscal year, before you write the offer.

Not the county figure. Not the state average. Not what the last property you looked at carried. The town, the current year, and any special district that applies.

County-level guidance is worse than useless here. Connecticut abolished county government in 1960; counties are geographic labels with no taxing power. The spread inside any of them is wider than the spread between them — Fairfield County contains both Bridgeport at 27.95 and Greenwich at 10.125. Any sentence beginning “Fairfield County property taxes are...” is wrong before it finishes.

The Office of Policy and Management publishes every town’s

rate as an open dataset, updated as towns adopt their budgets. Use it, and check the fiscal year label before you use the number.

Why the cheap cities are the expensive ones

Look at that table again with an investor's eye rather than a homeowner's.

The towns at the top — Hartford, Waterbury, New Haven — are where the rent-to-price ratios work. They are where a two-to-four unit building can be bought for \$250,000 and rented for enough to clear a payment. The towns at the bottom are where the yields are thin and the buyers are wealthy.

So Connecticut inverts the usual arrangement. The highest-yield markets carry the heaviest tax burden in the state, and it is the yield that pays for it.

The reason is the composition of the grand list — the roll of taxable property in a town.

Cities carry the region's institutions. Hospitals, universities, state office buildings, courthouses, non-profits. Those institutions consume municipal services and pay no property tax. Yale is New Haven's largest employer and the great majority of its property is exempt. Hartford is the state capital and holds a correspondingly large share of untaxable land.

The services still have to be paid for, so the bill falls on what remains taxable — which in an American city is disproportionately rental housing and small commercial property. Which is to say: you.

That is not an argument against buying in these cities. The yields are real and the demand is real. It is an argument for pricing the tax honestly rather than treating it as a rounding error. In Hartford

it is not a rounding error. On a \$400,000 property it is \$19,586 a year.

The trap in a falling mill rate

Bridgeport's rate came down sharply, from roughly 43.45 to 27.95. A headline like that reads as relief, and an investor scanning for a cheaper market might take it as a buy signal.

It is usually nothing of the kind. When a town completes a revaluation and assessed values across the grand list rise, the mill rate falls to keep the total levy roughly whole. The same money is collected against a bigger base. Your individual bill goes up, down or sideways depending on whether your property's assessment rose more or less than the town average.

Never read a mill rate without reading the assessment it applies to. A falling number attached to a rising assessment is not a discount. It is a rebalancing, and you may be on the wrong side of it.

The conveyance tax hits your exit

Connecticut charges a conveyance tax when property is sold. The state takes 0.75 percent of the first \$800,000 of a residential sale. The municipality takes 0.25 percent in most towns — but up to 0.5 percent in the eighteen designated targeted investment communities.

That list includes Hartford, Bridgeport, New Haven, Waterbury, New Britain and Norwalk.

Read that list against the yield table above. The higher municipal rate applies in exactly the cities where flipping makes sense.

So in the markets an investor is most likely to work, budget 1.25 percent of the sale price rather than 1 percent.

On a \$400,000 exit that is \$5,000, and it belongs in the model before you make an offer.

Where the deals actually are

Market figures in this section are from industry reporting and are directional. Verify with a local broker before acting.

Hartford is the yield city if you can carry the tax. Median sale prices run around \$420,000 citywide, up roughly 7.7 percent, with median rents near \$1,700 — but the citywide figure conceals a stratified market. The South End is the pure cash flow play: sturdy two-to-four unit buildings in the \$250,000 to \$350,000 range, capitalisation rates of 8 to 10 percent. The West End is the opposite trade — Victorian and Queen Anne streetscapes near Elizabeth Park and the UConn law campus, entry above \$500,000, capitalisation rates of 6 to 8 percent, and the lowest turnover in the city. Parkville sits between them and draws creative-class renters along the CTfastrak line. Hartford County multifamily has been trading in the low-to-mid 8 percent capitalisation range.

New Britain has produced the strongest recent appreciation in the state, with the median reaching \$359,785 in May 2026, up 16.1 percent. Ten miles from Hartford, 1920s two-family housing that renovates cleanly, and rental demand from Central Connecticut State University plus Hartford commuters that gives you a fall-back if a flip stalls. The caution is affordability: median household income is \$62,152, so overshoot the finish level and the house sits.

Waterbury is the cheapest entry and the slowest exit. Median around \$280,000 in January 2026, roughly 54 days on market, about three offers per property. A distressed three-bedroom here

costs what a down payment costs in Norwalk. Against that: a mill rate above 43, and a market that moves at its own pace. Budget carry for a longer hold than your spreadsheet assumes.

Bridgeport is the corridor play, with a median near \$375,000 in March 2026, up 3.6 percent, homes averaging 72 days, and two-bedroom rents around \$2,344 — well above Waterbury or New Britain. It sits inside the Bridgeport–Stamford–New Haven corridor, one of the most competitive rental markets in the Northeast, and Fairfield County multifamily transaction volume rose more than sevenfold in 2025. At 27.95 mills it now carries a materially lighter tax burden than Hartford or Waterbury, which is a genuine change in the state's internal arithmetic.

New Haven and the coast need a warning attached. New Haven County gross rent-to-price runs about 6.26 percent, which does not survive debt service at twenty percent down — a median-priced rental there runs roughly \$767 a month negative. That is not a reason to avoid the market. It is a reason to be honest that the thesis is appreciation, value-add or all-cash, and not day-one cash flow.

Testing the one percent rule

Investors arrive carrying the one percent rule — monthly rent should equal at least one percent of purchase price — and want to know whether it survives.

Partially, and only inland. In Fairfield and New Haven counties, most deals land at 0.75 to 0.9 percent. In Hartford and the secondary markets, 1.0 to 1.15 percent is still achievable with light to moderate renovation.

So the rule holds where the tax rate is highest, which brings the chapter back to where it started: in Connecticut the rent-to-price

ratio and the mill rate move together, and looking at either alone will mislead you. A 1.1 percent property in Hartford and a 0.85 percent property in Fairfield can net out closer than those numbers suggest once \$19,586 a year comes off the first one.

The Connecticut checklist

1. Pull the current fiscal year mill rate for the specific town from the OPM dataset or the town assessor — and check the fiscal year label.
2. Add any special service district mills that apply to the parcel.
3. Check whether the town has revalued recently, and remember rates lag the grand list by two years.
4. Multiply: assessment equals seventy percent of what you are paying; tax equals assessment times mill rate divided by one thousand.
5. Check whether the town is one of the eighteen targeted investment communities, and budget 1.25 percent of your projected sale price for conveyance tax if it is.
6. Run the coverage ratio with the real tax figure inside the payment.
7. Decide your exit before you borrow. Refinancing rather than selling avoids the conveyance tax entirely, because there is no sale.

That last point is worth sitting with. In a state that taxes the exit, the exit that is not a sale is structurally cheaper. Connecticut quietly rewards the investor who plans to hold.

Mill rates in this chapter are the official real and personal property rates for fiscal year 2027, from the Connecticut Office of Policy and Management dataset, current as of 4 September 2026. They are base municipal rates and exclude special service district levies. Rates are set annually by each municipality and are based on the grand list from two years prior. Verify the current figure for your specific address with the town assessor before relying on any number here.

Virginia: Three Markets, One State, and a Federal Paycheck

Virginia holds the widest yield spread of any state in this book, and it is not close.

Market	Typical value	3-bed rent	Gross yield
Norfolk	\$315,536	~\$2,195	~8.3%
Richmond	\$378,605	~\$2,300	~7.3%
Fairfax	\$779,439	~\$3,316	~5.1%

Norfolk’s yield holds up even against HUD’s deliberately conservative fair market rent, staying in the high single digits. Richmond still clears roughly 6.6 percent at HUD’s \$2,072 floor. Fairfax has no such cushion, and Northern Virginia values were down about 0.6 percent year over year in mid-2026.

The statewide median is somewhere between \$383,000 and \$425,000 depending on which measure and month you take. It describes none of the three.

Market figures in this chapter are from industry reporting and are directional. Tax mechanics are sourced to the Code of Virginia and locality publications.

The tax mechanism, which my earlier draft omitted entirely

Virginia keeps property tax **entirely local**. There is no state rate to look up. Roughly 95 counties and 38 independent cities each assess property, set their own rate, and send their own bill.

Two mechanics matter.

Assessment is at 100 percent of fair market value, required by Code of Virginia § 58.1-3201 and the standard since 1977. There is no assessment ratio — unlike Georgia at 40 percent, Ohio at 35, Connecticut at 70 or Colorado's split. What the assessor says the property is worth is what you are taxed on.

Rates are expressed per \$100 of assessed value, not in mills. So the arithmetic is:

$(\text{Assessed value} \div 100) \times \text{rate} = \text{annual tax}$.

A Richmond City home assessed at \$385,000 at \$1.20 per \$100 pays \$4,620 a year, or \$385 a month.

Fiscal year 2026 rates give a sense of the spread: Richmond City \$1.20, Fairfax County \$1.135, Arlington \$1.008, Virginia Beach \$0.97, Chesterfield \$0.93, Henrico \$0.85, Loudoun \$0.845, Hanover \$0.81, and rural counties as low as \$0.37.

Virginia's overall average effective rate is about **0.76 percent** of market value, slightly below the national average near 0.90 — which makes it, on this measure, one of the gentler states in this book.

The locality line is worth real money

Look at Richmond City at \$1.20 against Henrico County at \$0.85, on the same side of the same metro.

A \$420,000 house in Henrico pays \$3,570 a year. The same value in Richmond City pays \$5,040. Across the Richmond area, comparable properties can differ by \$1,500 to \$2,500 annually purely on which jurisdiction they sit in.

That is not as extreme as Connecticut's town-by-town spread, but it is the same lesson in a milder form: **the boundary matters, and a metro-level tax assumption will be wrong on one side of it.**

Reassessment cycles differ by locality

State law requires a general reassessment at least every four years, but localities go faster.

Annual reassessment: Arlington, Fairfax, Alexandria, Richmond, Virginia Beach, Chesapeake and most urban jurisdictions. Norfolk reassesses annually by local ordinance.

Biennial: Loudoun, Prince William, Stafford and some suburban counties.

Between general reassessments, values adjust only for physical changes — new construction or demolition.

For a buyer, the practical consequence is that Virginia does not produce a purchase-price shock the way Texas does. But in an annually reassessed locality the value will catch up quickly, and **your purchase price is the most direct evidence of fair market value available.** Use it as your proxy when modelling rather than the seller's current bill.

If you appeal, the burden is on you

Two local officials run the system: the Commissioner of the Revenue, an elected constitutional officer in each county and city,

maintains the assessment roll; the Treasurer collects.

The assessor's value is **presumed correct**. It is the taxpayer's job to show either that the assessment exceeds fair market value or that it is not uniform with comparable properties.

The route runs from an informal review with the assessor or Commissioner of the Revenue, to the local Board of Equalization and Assessment Review, and from there to Circuit Court.

Note also that the base rate is not the whole bill in some jurisdictions — special district levies apply in places including Prince William, Winchester, Suffolk and Hanover. Ask whether any apply to the parcel.

Who actually pays the rent here

Virginia's rental demand rests on the federal government and the military to a degree no other state in this book matches, and that deserves stating rather than glossing.

In Hampton Roads it is the Navy, the shipyards and the port. Norfolk has one of the highest renter shares in the state, with more than 56 percent of residents renting rather than owning — not an accident of affordability, but a population that moves on orders. In Northern Virginia it is federal employment, defence contracting and the technology firms clustered around them.

The upside is real. Military and federal tenants bring predictable income, housing allowances that set a floor under rents, and demand that does not evaporate when a local employer closes. In Norfolk that shows up as vacancy near the regional historical average through cycles that hurt other markets.

The concentration is equally real, and it is the honest counterweight. A state whose two biggest rental markets both depend on federal budgets carries a correlated risk that Ohio or Georgia does

not. Military turnover also runs on its own calendar — permanent-change-of-station cycles mean more frequent turns than a civilian market, which belongs in your vacancy and make-ready assumptions rather than your optimism.

The markets, in the order most investors should look at them

Richmond is the balance point and the best all-round market in the state. City median sale prices run \$320,000 to \$350,000 in early 2026 against a metro figure near \$418,000 — well under Washington at \$615,000. Gross yields across the city run 7 to 11 percent by neighbourhood, with 6 to 8 percent capitalisation rates achievable without heavy value-add.

The submarkets let you pick your risk. Well-located single-family in Church Hill or Midlothian yields 6 to 8 percent. Condominiums in Scott's Addition and Manchester run 5 to 6.5. Manchester, Highland Park and parts of the Eastside carry appreciation upside with the management intensity to match. The VCU market is high demand with high turnover. Suburban Henrico and Chesterfield give up yield for long-tenure tenants and newer stock — and, as the rates above show, a materially lower tax bill.

Underneath it, the metro has been adding roughly 15,000 to 18,000 residents a year, much of it affordability migration out of Northern Virginia, and properties have been going pending in about six days.

Norfolk and Hampton Roads carry the highest gross yields in the state and the easiest place to build coverage. Ghent and Freemason carry the stronger rents; Tidewater is where the value-add sits. Newport News offers similarly affordable entry with a

working-professional and military tenant base. Model it conservatively — 5 to 7 percent vacancy and 30 to 40 percent expenses is the realistic frame. The yield is high enough to survive honest assumptions, which is exactly why you should use them. Norfolk's effective rate runs around 1.00 percent, above the state average.

Northern Virginia is price level, not cash flow. Fairfax typical value \$779,439, Arlington \$823,567, Loudoun \$805,711, with two-bedroom rents of \$2,400 to \$2,800. Capitalisation rates of 4 to 6 percent and price-to-rent ratios of 20 to 24. Nothing here cash flows on day one at market prices. The case is structural — constrained land, extraordinary household incomes, and an employment base that has outlasted every recession in living memory. Note that Fairfax's median annual property tax bill exceeds \$7,600, more than double the national median, not because the rate is high but because the values are.

Roanoke and Lynchburg are the cheapest entry points in the state, with steady demand from working professionals and some of the lowest rates in the Commonwealth. Less liquidity on the exit, which matters more on a flip than on a hold.

One thing to watch in Richmond

The city has had continuing discussions about rental inspection programmes and possible licensing requirements. As of mid-2026 nothing significant has been enacted, but if you are building a Richmond portfolio this is the local policy worth tracking. Maryland and Ohio both show how quickly a registration regime changes the calendar between closing and collecting rent.

The framework sits in the middle

Virginia's landlord-tenant law is relatively balanced, with clearer eviction timelines and none of the rent control restrictions found in some neighbouring jurisdictions. It is not Texas, where remedies are fast and cheap. It is emphatically not Maryland, which sits directly across the Potomac from Northern Virginia and runs a far more prescriptive regime.

That difference is worth pricing if you are choosing between a Northern Virginia property and a Maryland one at similar numbers. Same metro area, same commuters, materially different cost when a tenancy goes wrong — and, as the Maryland chapter sets out, a compliance chain that gates the income.

The Virginia checklist

1. Pick the business first — coverage in Hampton Roads, or price level in Northern Virginia.
2. Get the locality's current rate per \$100 and calculate: assessed value $\div$ 100 $\times$ rate.
3. Check the boundary. Richmond City at \$1.20 against Henrico at \$0.85 is \$1,500 to \$2,500 a year on comparable property.
4. Ask whether special district levies apply to the parcel.
5. Find out whether the locality reassesses annually or biennially, and use your purchase price as the proxy for fair market value.
6. Do not use a statewide median for anything.
7. Put military turnover into the vacancy assumption, not the optimism.
8. Model Hampton Roads at 30 to 40 percent expenses, not five.

9. If you appeal, remember the burden of proof is yours — bring comparable sales or an appraisal.

Assessment mechanics are drawn from the Code of Virginia §§ 58.1-3201 and 58.1-3280, the Virginia Department of Taxation's guidance on understanding real estate assessments, and locality publications including the City of Norfolk. Rates are set annually by each locality and change — verify the current adopted rate with the Commissioner of the Revenue. Market figures are directional.

Colorado: Hail, Not Wildfire, and a Tax System Unlike Any Other

Two things about Colorado are almost universally reported wrong, and both of them change what you should do.

The first is insurance. Everyone assumes the problem is wildfire. The state's own regulator says otherwise.

The second is property tax. Colorado does not calculate it the way any other state in this book does, and an investor applying a normal effective-rate assumption will get the wrong number.

Start with the tax, because it is the more surprising of the two.

Colorado does not have a property tax rate

It has three moving parts, and you need all three.

Actual value. What the county assessor determines the property is worth. Colorado reassesses on a two-year cycle in odd-numbered years — the 2025 reassessment set values for tax years 2025 and 2026, and the next comes in 2027.

Assessment rate. This is where Colorado departs from everyone else. Residential property carries a *split* assessment rate: one rate for school districts and a different rate for every other local government entity. For tax year 2026 the school district rate is 7.05 percent, and the local government rate is 6.80 percent after a ten percent reduction of the first \$700,000 in actual value.

Read that again, because it is genuinely unusual. Your single house is assessed twice, at two different rates, for two different

sets of taxing authorities.

Mill levy. Set annually by each taxing entity — county, municipality, school district, and any fire, water, library or sanitation special districts that serve the property. One mill is one dollar per thousand dollars of assessed value. Add every entity's levy together and you have the total.

The calculation, then, runs separately for the two components and adds them.

Take a \$700,000 property in a district with a total mill levy of 100, of which 44.349 mills belongs to the school district and the remaining 55.651 to local government. The school portion is assessed at 7.05 percent. The local government portion is assessed at 6.80 percent, applied after the ten percent reduction of the first \$700,000 — which on this property is the entire value.

That structure is why you cannot look up “the Colorado property tax rate” and get a usable answer, and why blanket effective-rate figures for Colorado should be treated with suspicion. Ask the county assessor for the mill levies applying to the specific parcel and run both components.

One further consequence worth planning around: because reassessment happens on a two-year cycle rather than at sale, Colorado does not produce the purchase-price reassessment shock that Texas and Georgia do. That is a genuine advantage of this state, and it is the mirror image of Michigan, where the rate itself changes the moment the property becomes a rental.

The insurance story is hail

Colorado homeowners saw premiums rise **57.9 percent between 2018 and 2023**, according to Division of Insurance data. That is far above the national trend and far above inflation.

The intuitive explanation is wildfire. An analysis released by the

Division of Insurance and the Governor's office found otherwise: **hail is the number one factor driving up homeowners insurance rates in Colorado.** Wildfire risk accounts for a much lower percentage of premiums on average.

That matters practically, because hail is not geographically exotic. A Front Range property nowhere near a forest is exposed to it, and insurers have been spreading storm costs across the whole state — raising prices even for owners who rarely see hail. An investor who checks a wildfire map, finds the property clear, and assumes insurance is a normal line item has checked the wrong map.

Roof age and roof material carry disproportionate weight here for exactly that reason. Ask about them before you buy, and treat a roof at the end of its life as an insurance problem as much as a capital expenditure problem.

Wildfire is an availability problem, not a price problem

Wildfire still matters — it just matters differently.

The Division of Insurance's own framing is that wildfire-prone homes in Colorado are often **dropped by insurers altogether.** That is a different risk from an expensive premium. A property you cannot insure conventionally is a property most lenders cannot finance conventionally, because proof of insurance is a closing condition.

Premium increases of 150 to 300 percent have been documented in Boulder County, El Paso County and I-70 corridor communities, with some owners paying \$8,000 or more a year.

Two pieces of state machinery exist because of this, and both are recent enough that most investment guidance has not caught up.

The Colorado FAIR Plan, created by HB23-1288 and signed into law in May 2023, is the insurer of last resort. It began accepting residential applications on 10 April 2025. Know its limits before relying on it: coverage is capped at \$750,000, claims are paid on an **actual cash value** basis rather than replacement cost, and the base policy carries no personal liability and no additional living expenses. Hail, windstorm, vandalism and smoke are optional endorsements rather than included. For an investor, actual cash value on a total loss is a materially worse outcome than replacement cost, and the \$750,000 cap is a real constraint in Denver-area markets.

HB25-1182, effective 1 July 2026, requires insurers using wild-fire risk models to disclose them, to incorporate property-specific and community-level mitigation into their pricing, to give owners a written wildfire risk score, and to allow a formal appeal. Colorado Regulation 5-1-28, effective 1 October 2026, sets out the disclosure requirements in detail.

The practical consequence for an owner: you now have a right to see the score driving your premium and to challenge it if your mitigation work is not reflected. The score arrives at your next renewal rather than automatically on the effective date.

Colorado also runs a Wildfire Resiliency Code that is mandatory for local jurisdictions within the wildland-urban interface, and offers a state income tax credit for qualifying wildfire mitigation expenses subject to an income limit. Mitigation is therefore not only a safety measure but a documented, appealable, partially subsidised input into what you pay.

What to do about it

On any Colorado acquisition, in this order:

Get a bindable quote for the specific address before your inspec-

tion period ends — not an estimate, and not a figure from a comparable property. Ask specifically about roof age and hail exposure, not only wildfire.

If the property sits in the wildland-urban interface, establish whether standard coverage is available at all before you go further. A FAIR Plan fallback changes the economics of the deal and should be priced as such.

And put the real premium inside the coverage ratio, not beside it. On a thin Front Range deal, a hail-driven premium is enough on its own to move the ratio below the tier you were counting on.

The market underneath

The market figures in this section are drawn from industry reporting rather than from a single official source, and should be treated as directional. Verify current conditions with a local broker before acting.

Colorado spent a decade where appreciation covered mistakes. Prices have plateaued around \$599,000 statewide and inventory has surged to a ten-year high. Denver's median sits near \$610,000, moving in about 21 days. Rents have softened rather than climbed, with the median around \$2,100, down roughly \$69 year over year, as more owners list rentals for sale.

On the Front Range, buy-and-hold in 2026 is frequently at or slightly below break-even on cash flow. That is not a crisis; it is a different game. The market now favours buyers who negotiate rather than buyers who wait for the market to bail them out.

Two things follow. **The yield is south, not north.** And **on the Front Range the money is in value-add** rather than buying at market and holding — Denver's 1980s and 1990s multifamily stock is where that work sits.

The I-25 gradient

One highway, about a hundred miles, three different investments.

Market	Median	Gross yield	Days on market
Denver	~\$610,000	3–4%	21
Colorado Springs	~\$400,000–\$460,000	5–7%	—
Pueblo	~\$255,000–\$313,000	8–10%	63

The gap is driven by the price base rather than by rents. Colorado Springs rents of \$1,400 to \$1,800 actually exceed Pueblo’s \$900 to \$1,200 in absolute terms — Pueblo wins on yield because the entry price is roughly \$145,000 lower.

The trade for that yield is liquidity. Pueblo runs 63 days on market against Denver’s 21. On a rental that barely matters. On a flip it is most of your term, and it is the single most common way a Pueblo deal goes wrong: an investor buys the yield and models a Denver exit.

Colorado Springs is the balance point, with yields averaging 5.5 to 6 percent against Denver’s 3 to 4. The city closed 2025 with a documented 27,712-unit housing shortage and multifamily construction down 75 percent — a supply picture that supports rents without needing a boom. Submarket choice matters more than the city average: a \$380,000 house in Fountain near Fort Carson produces 7 to 8 percent on a military tenant base, while the same money in Briargate produces 4 to 5 percent with appreciation upside. Northgate sits between and picks up Denver commuters off I-25.

Pueblo offers sub-\$255,000 entry producing 8 to 10 percent gross on well-maintained property in established neighbourhoods like Belmont and University Park. Aging stock and seller demographics also create a real off-market channel. The honest risk is

economic concentration — Pueblo and Greeley both carry single-employer dependency, which is a different kind of exposure than a soft quarter.

Denver metro at 3 to 4 percent on a \$610,000 median does not work bought at market and held. What works is the older multifamily stock where rents can be moved by improving the asset. Aurora, Commerce City and Brighton offer starter single-family at \$400,000 to \$480,000 with 5 to 7 percent gross — better, still thin, and dependent on buying below market.

The northern Front Range — Longmont and Loveland at \$440,000 to \$540,000 on technology and biotechnology employment, Fort Collins at a \$565,000 median and 56 days, Greeley \$495,000 and 50 days, Boulder \$750,000 and 42 days. Boulder is a high-barrier appreciation market and should be underwritten as one.

Grand Junction on the Western Slope, at a \$428,000 median and 29 days, is the fastest-moving secondary market in the state, with genuine yield potential on small multifamily. Worth attention precisely because most out-of-state investors never look past the Front Range.

On short-term rentals

Breckenridge, Steamboat and Telluride can produce excellent gross numbers and carry heavy local regulation. Size the loan on long-term rent, which is also the honest test of whether the deal survives a rule change.

The Colorado checklist

1. Ask the county assessor for the mill levies applying to the parcel, and run the school and local government components

separately at 7.05 and 6.80 percent.

2. Remember reassessment is biennial and value-based, not sale-based — no purchase-price shock, but no reset in your favour either.
3. Get a bindable insurance quote and ask specifically about roof age and hail, not only wildfire.
4. In the wildland-urban interface, confirm standard coverage is available at all before proceeding.
5. If relying on the FAIR Plan, price actual cash value and the \$750,000 cap into the deal.
6. From July 2026, request your written wildfire risk score at renewal and appeal it if mitigation is not reflected.
7. Do not model a Pueblo flip on a Denver timeline.

Tax mechanics in this chapter are drawn from the Colorado Department of Local Affairs Division of Property Taxation and county assessor publications; insurance findings from the Colorado Division of Insurance and Colorado Regulation 5-1-28. Market figures are from industry reporting and are directional. Assessment rates are set by the general assembly and mill levies are set annually by each taxing entity — verify both for your specific parcel.

Washington: Read the Exemptions Before You Read the Cap

Washington is the only state in this book where the legislature has put a ceiling on your rent growth, and 2026 is the first full calendar year it has operated.

House Bill 1217 was signed in May 2025. It directs the Washington State Department of Commerce to calculate and publish a maximum annual rent increase every year, and the framework runs until 1 July 2040.

The mechanism, from Commerce’s own Landlord Resource Center: for properties subject to the Residential Landlord-Tenant Act at RCW 59.18, unless specifically exempted under RCW 59.18.700, a landlord may not increase rent at all during the first twelve months of a tenancy. After that, rent may be increased once during any twelve-month period, by no more than **seven percent plus the Consumer Price Index, or ten percent, whichever is less.**

The CPI used is the Seattle-Tacoma-Bellevue index for all urban consumers, not seasonally adjusted, measured on the June twelve-month change.

For 1 January to 31 December 2026, that figure is 9.683 percent.

For 2027, Commerce has already published 10 percent — the formula produced a result above the ceiling, so the ceiling applies.

Manufactured and mobile home lots are capped separately, at five percent.

The exemption that may make this chapter irrelevant to you

Here is the part that matters more than the cap itself, and that most coverage buries.

HB 1217 was amended twice in the Senate. The first amendment changed a flat seven percent cap into the lesser-of formula above. **The second amendment exempted single-family homes** — which, by the reporting at the time, covers approximately 38 percent of Washington renters.

Buildings certified for occupancy within the last twelve years are also exempt from the cap.

If you are buying single-family rental houses in Washington — which is what a great many investors reading this book are doing — the rent cap may not apply to your property at all.

I am going to be careful here rather than confident, because this is the single most consequential sentence in the chapter and the sources available to me do not agree on its precise scope. Some describe a broad single-family exemption. Others list only new construction and manufactured-home lots when summarising exemptions, and refer readers to the statute.

Confirm the exemption against the text of RCW 59.18.700, with Washington counsel, for your specific property, before you build a strategy on it. Do not take it from this book, and do not take it from a property management blog. If you are exempt, your rent growth is governed by the market. If you are not, it is governed by Commerce. Those are entirely different investments and the difference is a statute you can read in ten minutes.

What the cap does to underwriting if it applies

Assume for the moment that it does.

A pro forma built on aggressive rent growth is then not merely optimistic — it is unlawful. If your model needs twelve or fifteen percent in year two to make the numbers work, that model cannot be executed on a covered property in Washington.

There is a second-order effect worth noticing. The same statewide percentage produces very different amounts of money depending on where the property sits. Applied to a \$2,200 Bellevue rent, 9.683 percent is about \$213 a month. Applied to a \$950 Spokane rent, the same percentage is about \$92. A 2.3-fold difference in dollars from an identical statute.

And one thing the cap does *not* obviously do is bind in Seattle, where rent growth has been projected in the low single digits. Where the market moves slower than the ceiling, the ceiling is not the constraint. Price is.

The procedural requirements are where people actually get hurt

The percentage gets the headlines. The service rules are what generate liability.

A rent increase requires **90 days' written notice** statewide. **Seattle requires 180 days** — double the state minimum — and the city rule governs within the city. The increase must take effect at the start of a rental period rather than mid-month.

Notice must be delivered by certified mail, and for increases effective on or after 27 July 2025, must also be personally served, posted on the door, and mailed.

Landlords are required to use the **standardised statewide form prescribed by the Department of Commerce**. A generic rent-increase letter is non-conforming.

Seattle adds one more: **Economic Displacement Relocation**

Assistance applies when rent rises ten percent or more within twelve months. A qualifying tenant household can claim relocation assistance from the landlord. In a city where the state cap allows 9.683 percent, that threshold sits so close to the ceiling that it functions as a practical limit of its own.

The compliance burden here falls hardest where you might not expect it. A solo owner of a 1978 garden apartment faces the same prescribed-form requirement and the same exposure as an institutional operator running compliance software, without the legal department. If you own a handful of doors in Washington, build the notice process once, properly, and reuse it.

What the cap means for a flip, which is different

If you are buying, renovating and selling, the cap does not touch you directly. It governs tenancies, not sales.

It reaches you through your buyer. An investor purchasing your finished property is underwriting a rent that may be legally bounded, which affects what they will pay. A property sold to an owner-occupant is unaffected. A property sold to a landlord is being priced against a constrained income stream — unless it falls within an exemption, in which case it is not, and that exemption is now a selling point worth documenting.

The three markets

Market figures in this section are from industry reporting and are directional. Verify with a local broker.

Seattle carries a typical value around \$865,000 with capitalisation rates near 5.2 percent as of April 2026 — better than they have been, and still thin. A three-bedroom single-family rents for roughly \$3,695, up 4.1 percent, with vacancy below national lev-

els. This is an appreciation and tenant-quality market with the state's most demanding compliance layer.

Tacoma, at roughly \$497,000, is the balance point: materially cheaper than Seattle, drawing Puget Sound commuters, with a city overlay lighter than Seattle's but real.

Spokane, around \$395,325 against a statewide average rent near \$1,995, has the thinnest regulatory overlay of the three. This is where rent clears the mortgage on day one rather than several rent cycles later, and where a coverage ratio is easiest to build.

Statewide, NWMLS reported a median closed price of \$650,000 in May 2026, while Realtor.com had an April median sold price of \$600,000 with active listings up 16.8 percent year over year. More inventory means more negotiating room than Washington investors have had in years — and a slower exit than they are used to.

What Washington gives back

No state income tax. On a flip, the profit you keep is a federal question only — the same structural advantage Texas and Florida carry and most of the Northeast does not. It does not fix Seattle's yields. It is real money on an exit.

Statewide just-cause eviction protections have applied since 2021, and Seattle, Tacoma and Spokane each maintain their own overlay above the state framework. Seattle's is the heaviest.

The Washington checklist

1. **Determine first whether your property is exempt** under RCW 59.18.700 — single-family status and the twelve-year new construction exemption both matter. Confirm with counsel, not with a blog.

2. If covered, model rent growth within 9.683 percent for 2026 and 10 percent for 2027, once per twelve months, none in the first twelve.
3. Use the Department of Commerce prescribed notice form. A generic letter is non-conforming.
4. Serve 90 days statewide, 180 in Seattle, effective at the start of a rental period, by certified mail plus personal service, posting and mailing.
5. In Seattle, watch the ten percent EDRA threshold, which sits just below the state ceiling.
6. Re-check the Commerce figure every year rather than carrying last year's number forward.
7. Budget a slower exit — active listings are up 16.8 percent.

Rent cap figures, formula and notice requirements in this chapter are drawn from the Washington State Department of Commerce HB 1217 Landlord Resource Center and RCW 59.18.700. Market figures are from industry reporting and are directional. The scope of the single-family exemption is described inconsistently across available sources and must be confirmed against the statute with Washington counsel before being relied upon.

Part Three: The Same House, Twelve Times

The Comparison

Everything to this point has been one state at a time. This chapter puts them beside each other.

The exercise is simple and it is the reason this book exists. Take one hypothetical property — a \$400,000 single-family rental, three bedrooms, in reasonable condition, rented at market — and ask what it costs to hold in each of the twelve states.

Two warnings before the table.

This is a structural comparison, not a shopping list. A \$400,000 house is a modest property in Boston and an expensive one in Cleveland. The point is not that you should buy the same house everywhere. It is to show how differently the *same money* behaves depending on which side of a state line it sits.

And the numbers are as good as their sources. Tax mechanics come from state agencies. Insurance figures and market data come from industry reporting and vary by property. Every figure here is a reasonable central estimate, not a quote. The methodology note at the back of the book sets out exactly where each came from.

What the same house costs to hold

The dominant variable is not price. It is which single line item runs away from the average.

Where property tax is the problem:

Texas, at roughly 1.40 percent effective statewide, puts \$5,600 a year on a \$400,000 house — \$467 a month before anything else. Harris County pushes that to 2.1 to 2.4 percent, so \$8,400 to

\$9,600.

Connecticut cannot be answered with a single figure at all. The same \$400,000 house is assessed at 70 percent, then taxed at whatever the town's mill rate happens to be: \$19,586 in Hartford, \$4,494 in Darien, \$2,835 in Greenwich. A factor of nearly seven, inside one small state.

Ohio's Franklin County runs about 1.67 percent — \$6,680. Baltimore City about 1.72 percent — \$6,880. Detroit around 2.8 percent, though a \$400,000 property is well above that market's median.

Colorado cannot be expressed as a simple percentage either, because of the split assessment rate. A Colorado owner has to run the school and local government components separately.

Where insurance is the problem:

Florida, at roughly \$7,136 a year for \$300,000 of coverage against a national average near \$2,543. That single line is larger than the entire annual property tax bill in several other states on this list.

Texas above \$3,500 statewide before any flood policy, with Houston adding \$1,500 to \$4,000 for flood in a FEMA zone.

Colorado, where statewide premiums rose 57.9 percent between 2018 and 2023 and hail rather than wildfire is the primary driver.

Where the law is the problem:

Massachusetts, where a pre-1978 property rented to a family with a young child triggers mandatory lead removal or covering by a licensed deleader, with strict liability attached, and where three specific security deposit failures — not every procedural slip — carry mandatory treble damages.

Maryland, where lead registration and a Baltimore City rental licence gate the tenancy — which means they gate the income.

Washington, where rent growth on a covered property is capped

by statute at 9.683 percent for 2026 and 10 percent for 2027.

Where nothing is dramatically wrong:

Virginia, Georgia and Pennsylvania carry no single catastrophic line. Their difficulty is internal spread — Norfolk at 8.3 percent gross against Fairfax at 5.1, Atlanta at flat rents against Augusta at 7.6 percent growth, Pittsburgh's tax against Philadelphia's.

The pattern worth taking away

Read the three groups above and a rule emerges that no rule of thumb captures.

Every state has one line item that behaves nothing like the national average, and it is a different line in each state.

An investor who carries a single mental model — thirty-five percent expenses, one percent property tax, insurance as a rounding error — will be roughly right in perhaps four of these twelve states and badly wrong in the rest. Not slightly wrong. Wrong by the whole margin.

That is the entire argument of this book, and it can be stated in one instruction: **before you buy in a state you have not bought in before, find out which line is the outlier there.** Then get a real number for it.

A note on what is not in the table

Cash flow, deliberately.

I could produce a column showing projected monthly cash flow in each state, and it would be the most-quoted number in the book and the least trustworthy. It would depend on rent assumptions I cannot verify for your property, financing terms that vary by borrower, and expense ratios that vary by building age and management quality.

Anyone who publishes that table is guessing. The honest version is the one above: here is where the costs are, here is which one is unusual, go and get the actual figure.

Three Deals, Start to Finish

Abstractions are easy to agree with. These are three complete transactions with the arithmetic exposed, including the parts that went wrong.

All three are constructed from the mechanics in Part One and the state costs in Part Two. They are illustrations, not case studies of real clients.

Deal one: the flip that worked, and nearly did not

The property. A three-bedroom in a Texas suburb. Purchase price \$185,000. Renovation budget \$55,000. After-repair value supported by comparables at \$330,000.

The financing. Short-term money at 11.5 percent with two points, up to ninety percent of cost and seventy percent of after-repair value.

Total cost is \$240,000. Ninety percent of cost is \$216,000. Seventy percent of ARV is \$231,000. The cost ceiling is lower, so the loan is \$216,000.

Cash at closing. \$24,000 of the purchase, plus \$4,320 in points, plus \$3,500 in closing costs. **\$31,820.**

The hold. Eight months. Interest is charged on funds actually drawn — the purchase money for the full term, the renovation money for roughly half of it as draws release against completed work. That comes to about **\$14,500.** Holding costs at \$450 a month add **\$3,600.**

The exit. Sold at \$330,000. Selling costs at eight percent take **\$26,400.**

The result. \$330,000 less \$26,400 selling, less \$185,000 purchase, less \$55,000 renovation, less \$4,320 points, less \$14,500 interest, less \$3,500 closing, less \$3,600 holding. **Profit: \$37,680** on roughly \$49,900 of cash in the deal. About 76 percent over eight months.

Where it nearly went wrong. At \$185,000, the purchase price sits \$9,000 above the seventy percent rule ceiling — seventy percent of \$330,000 is \$231,000, minus \$55,000 of rehab gives a maximum allowable offer of \$176,000.

The screen said no. The deal made \$37,680.

That is the honest relationship between the rule and reality. It is a screen that saves you time, not a verdict. But note what it was warning about: this deal had very little room. Which brings us to deal two.

Deal two: the same house, one bad comparable

Everything identical, except that the \$330,000 after-repair value was optimistic. A closer look at the comparables — or a corrected appraisal — puts it at \$300,000.

Watch what happens, because two things move at once and most investors only anticipate one.

The loan shrinks. Seventy percent of \$300,000 is \$210,000. Ninety percent of cost is still \$216,000. Now the ARV *ceiling* binds rather than the cost ceiling. The loan drops from \$216,000 to \$210,000.

So the cash requirement rises. You now bring \$30,000 of the purchase instead of \$24,000, plus \$4,200 in points, plus \$3,500 closing. **\$37,700 at closing instead of \$31,820.**

And the proceeds fall. Selling at \$300,000 with eight percent costs leaves \$276,000 rather than \$303,600.

The result. Profit falls to approximately **\$10,700**.

A \$30,000 error in the exit assumption cost \$27,000 of profit and demanded \$5,880 more cash on the day of closing.

This is the single most important arithmetic in this book. Most investors model an ARV mistake as a reduction in proceeds. It is that, plus a reduction in the loan, plus an increase in the cash required — and the three compound.

Conservative comparables are not caution. They are the whole margin.

Deal three: the rental that qualified on the third attempt

The property. A two-unit building in Ohio. Purchase price \$160,000. Gross rent \$2,150 a month across both units.

First attempt. The investor models taxes from the seller's bill — \$2,100 a year, on an assessment set years ago. Insurance estimated at \$1,100. Loan of \$120,000 at 7.25 percent on a thirty-year amortisation gives principal and interest of \$818.

Payment as modelled: \$818, plus \$175 tax, plus \$92 insurance. **\$1,085.** Coverage ratio: \$2,150 divided by \$1,085 equals **1.98**. Excellent.

Second attempt, at underwriting. The property reassesses at the purchase price. Franklin County's effective rate near 1.67 percent puts the real bill at roughly \$2,672 — \$223 a month. The insurance quote comes back at \$1,450, not \$1,100 — \$121 a month.

Payment: \$818, plus \$223, plus \$121. **\$1,162.** Coverage: **1.85**. Still comfortably above 1.25. The deal survives.

Third attempt, and the real lesson. The city requires rental registration and inspection. The inspector finds electrical work needed before a certificate issues. That is \$6,400 and six weeks.

Nothing about the ratio changes. What changes is that the property produces no income for six weeks while the investor pays the mortgage — roughly \$1,742 of payments against zero rent — and the \$6,400 comes out of reserves that were meant to be the lender's required cushion.

The deal still works. At 1.85 coverage it was never in danger of failing to qualify. But the investor who modelled the seller's tax bill, an estimated insurance figure and no compliance line arrived at closing \$9,900 lighter than planned, on a deal he believed had a comfortable margin.

That is how most deals fail. Not dramatically, in the ratio. Quietly, in the reserves.

What the three have in common

Deal one worked because the purchase price was low enough to absorb a mistake, even though a rule of thumb said not to buy it.

Deal two is the same deal with one number wrong, and the error compounded three ways rather than one.

Deal three qualified easily and still nearly failed, because qualification and execution are different problems.

The through-line: the ratio tells you whether you can borrow. The reserves tell you whether you can finish.

All three deals are illustrative constructions using the mechanics and cost data set out in Parts One and Two. They are not records of

specific transactions and no outcome here is a projection of what any particular deal will produce.

A Note on Method and Sources

This book makes two kinds of claim, and they are not equally reliable. You should know which is which before you rely on either.

Tax and legal mechanics

Every statement about how a state assesses property, what a statute requires, when an appeal must be filed or what a compliance regime demands has been taken from a primary source: a state revenue department or division of taxation, a county assessor or appraisal district, the statute itself, or a state agency's own published guidance. Each chapter's closing note names the specific sources used.

Where sources disagreed, I have said so in the text rather than picking the more convenient figure. There are three places in this book where that happens — Harris County's effective rate, Detroit's year-over-year price direction, and the scope of Washington's single-family exemption — and in each case the disagreement is itself the useful information.

Where I could not verify something material, I have said that too, and told you who to ask.

Market figures

Median prices, rents, days on market, capitalisation rates, vacancy, yields and insurance premiums come from industry reporting: brokerage and portal data, market analyses, and trade publications. Much of the underlying data sits behind paywalls or is proprietary to multiple listing services, and none of it is a government record.

Every section containing these figures is marked as directional. Treat them as a description of the shape of a market, not a quote on a property.

Dates

All figures were compiled during the third quarter of 2026 and each chapter carries a dated note. Assessment ratios are set by legislatures and change. Mill rates and millage are set annually by each taxing authority. Insurance premiums move with reinsurance markets and catastrophe seasons. Statutory requirements are amended — two of the provisions in this book changed in 2025 and 2026 alone.

A book cannot be a current quote for your property. Verify the specific number for the specific address before you act on it.

What I did not do

I did not visit these markets. I did not inspect these properties. I have not read every county ordinance in twelve states, and no book of this length could.

What this book does is tell you which cost is the outlier in each state, why it behaves the way it does, and what to ask before you buy. The verification is yours.

Corrections

If you find an error, I would genuinely like to know. Corrections improve later editions and I would rather be told than be wrong in print for another year.

Glossary

After-repair value (ARV) — What a property will be worth once renovation is complete, established from comparable sales. Sizes the loan on a rehab deal and, when it binds, determines how much cash you bring.

Assessed value — The figure a taxing authority applies its rate to. Not the same as market value in most states. Georgia uses 40 percent of fair market value, Ohio 35 percent, Connecticut 70 percent, Colorado a split rate, while Texas, Virginia and Florida use 100 percent.

Bridge loan — Short-term financing that covers the gap between acquiring a property and a permanent exit, whether a sale or a refinance.

Capitalisation rate (cap rate) — Net operating income divided by property value. Unlike gross yield, it is calculated after operating expenses and before financing.

Common Level Ratio (CLR) — Pennsylvania. An annual figure from the State Tax Equalization Board bridging a county's stale base-year assessments to current market values. The operative number in an appeal.

Cross-collateral — Financing two or more properties under one loan. Frequently the route through a lender's minimum loan amount on low-basis stock.

Debt service coverage ratio (DSCR) — Gross monthly rent divided by the full monthly payment including principal, interest, taxes, insurance and any association dues. At 1.25 the property earns 25 percent more than it costs to hold. Below 1.00 it does not cover.

Draw — A staged release of construction or renovation funds after work is completed and inspected. You pay interest only on funds drawn.

Fair market value / just value / true value — What a property would sell for in an arm's-length transaction. Different states use different terms for the same idea; Florida says just value, Ohio says true value.

Gross yield — Annual rent divided by purchase price, before any expense. The most quoted and least useful number in this business.

Hard money loan — Short-term, asset-based lending secured by real property, underwritten on the deal rather than the borrower's income. Non-owner-occupied and business purpose.

Interim control (Massachusetts) — A temporary alternative to full deleading. A Letter of Interim Control shields an owner from strict liability, lasts one year, is renewable once, and expires at two years.

Just value — See fair market value.

Loan to cost (LTC) — Loan amount as a percentage of purchase price plus renovation budget.

Loan to value (LTV) — Loan amount as a percentage of current property value, unimproved.

Loan to after-repair value (LTARV) — Loan amount as a percentage of the finished value. On an ambitious renovation this is usually the ceiling that binds.

Mill / mill rate / millage — One dollar of tax per thousand dollars of assessed value. Used by Connecticut, Michigan, Ohio, Pennsylvania and others. Virginia expresses the same idea per hundred dollars instead.

Municipal Utility District (MUD) — Texas. A local district funding water, sewer and drainage in developments outside city service

areas. Levies its own tax, common in suburban Houston, and can add a full percentage point or more.

Non-homestead cap (Florida) — A 10 percent annual limit on increases in assessed value for rentals, second homes and commercial property. Resets on a change of ownership and is lost to a renovation raising just value by 25 percent or more.

Non-owner-occupied — Property the borrower does not live in. A condition of every loan described in this book.

PITIA — Principal, interest, taxes, insurance and association dues. The full housing payment, and the denominator of the DSCR calculation.

Portability (Florida) — The ability to transfer up to \$500,000 of accumulated Save Our Homes benefit to a new Florida homestead.

Prepayment penalty — A charge for paying a loan off early, commonly stepping down over five years. Accepting one typically buys a lower rate.

Principal Residence Exemption (PRE) — Michigan. Exempts an owner's principal residence from up to 18 mills of local school operating millage. Rentals do not qualify.

Recapture rule (Florida) — Requires assessed value to keep rising by the cap amount even in a year when market value falls, until the two meet.

Reserves — Liquid funds a lender wants to see after closing, commonly three to six months of full payments. Not spent at closing; proven.

Save Our Homes (Florida) — A constitutional cap limiting annual increases in assessed value on homesteaded property to 3 percent or CPI, whichever is lower.

Seasoning — The period a lender requires you to have owned a property, or collected rent on it, before refinancing — particularly on a cash-out.

Sexennial reappraisal / triennial update — Ohio. A full physical reappraisal every six years, with a statistical update three years in between.

Strict liability — Legal responsibility that attaches regardless of intent or knowledge. Applies to lead poisoning in Massachusetts under M.G.L. c. 111 § 199.

Taxable value — Assessed value minus applicable exemptions. What the rate is actually applied to. In Michigan it is also a capped figure distinct from both market and state equalised value.

TRIM notice (Florida) — Truth in Millage. The August notice showing just, assessed and taxable values, and the document that starts a 25-day appeal clock.

Value Adjustment Board (VAB) — Florida. The county body hearing property assessment appeals.

The Landlord's Cost Map · Dominion Publishing

Where to Go From Here

The numbers in this book tell you what a property costs to hold. They do not tell you how to fund it.

If you are working a deal that needs financing faster than a bank will move — a flip, a BRRRR, an auction purchase, a bridge between two properties — hard money is usually the tool. The rate is higher and the term is shorter, and for the right deal that trade is worth making.

Dominion Hard Money can put your deal in front of lending partners across the states covered in this book.

dominionhardmoney.com



Dominion Hard Money does not lend its own funds. It arranges financing through third-party lending partners and is compensated by those partners. Nothing in this book is a loan commitment, an offer of credit, or legal, tax or investment advice.